

405 questions

- ✓ 1. What are the different meanings of transition in development perspective?
- ✓ 2. Define capitalism. What are the behavioral arrangement of capitalism?
- ✓ 3. Describe the contribution of the catholic church and technological movement at the pre capitalist economy.
- ✓ 4. Describe the transition process from feudalism to capitalism according to Europe. (with chart) what are the ultimate results from this transition?
- ✓ 5. Distinguish between the transition from feudalism to capitalism and from capitalism to socialism through nation's experience.
- ✓ 6. What do you mean by mode of production to explain an economic pattern? Describe the role of mode of production at development process of a country.
- ✓ 7. Describe the role of shock therapy vs gradual approach to transition.

USA

- ✓ 8. Describe the causes and effects of civil war in USA.
- ✓ 9. What are the causes of great depression in USA?
- ✓ 10. Do you think new deal program played an effective role to recover the worse situation? Why or why not? / Write down the importance of first hundred day of Franklin D. Roosevelt's New Deal Program at United State. / "New Deal programs enacted by President Roosevelt in the United States between 1933 and 1938 were in response to the great depression and focused on what historians refer to as the '3 R's'-do you agree? Briefly explain your argument.
- ✓ 11. Describe some significant new deal programs which still remains in operation in today's world.
- ✓ 12. Briefly define free market economy. Do you recognize America as a free market economy? Explain your answer.

China

- ✓ 13. What do you mean by great leap forward? / Define great leap forward and demographic transition in People's Republic of China (PRC)?
- ✓ 14. What do you mean by Lewis turning point? Does China's industrialization support Lewis growth model?
- ✓ 15. What do you mean by middle income trap? Does inequality lead China to the middle income trap?
- ✓ 16. What are the favorable factors for China to be an emerging superpower?
- ✓ 17. What are the debates on sources of success in China and its coming challenges? Explain briefly.

Japan

- ✓18. What do you mean by war economy? How can you explain Japan's economy as an example of war economy? Analyze the contribution of war economy in the development process of Japan.
- ✓19. What are the factors that recognize Japan as a post war economic miracle?
- ✓20. What are the provisions of Agricultural land reform bill in Japan? Describe Agricultural land reform regulations including war time for Japan.
- ✓21. Describe the development process of Japan according to historical perspective.- not found
- ✓22. What do you mean by Translative Adaption? Explain the success story of Japan regarding translative adaption.
- ✓23. What are the factors that discovered Japan as Golden Sixties after the second world war?

Cuba

24. Analyze the state of Cuba before Cuban revolution.
25. How did Cuban revolution bring major changes in socio-economic development in that country? Point out their constraints and risks in this regard. How did Cuban post revolution model determine its priorities? - not found
26. What do you mean by special period in time of peace? How could revolution play role in an economy? Give your answer regarding Cuba.
27. Briefly explain the standard of health system in Cuba which is recognized as an important fact of this economy.

Taiwan & South Korea

- ✓28. Define East Asian miracle. Describe the development experience of example of East Asian miracle.
- ✓29. What are the policies & principles that have played a role in the economy of Taiwan to be an economic miracle?
- ✓30. Describe the role of capital flow, industrialization and international trade (trade policy) in the development method of South Korea. (miracle of Han river)
- ✓31. Describe the relationship among capital flow, industrialization, international trade and development according to experience of South Korea and Taiwan. Is there any difference between this two countries development experience regarding these mechanisms?

✓32. "South Korea is a global shining star of growth and resilience"- explain this line in the context of economic transition of South Korea.

Sweden

✓33. Define welfare state. Describe the Esping-Andersen's welfare state classification with example. What are the objectives of a welfare state?

✓34. Explain the causes of rise, fall and revival of the Swedish welfare state./ Describe the method of Sweden being a welfare state.

✓35. Describe the method of Sweden being as a successful welfare state.

✓36. Describe the role of education system in Sweden to establish it as a welfare nation.

Only previous years questions included!

1. What are the different meanings of transition in development perspective?

Answer: The term transition has been used in the literature in many different ways. However, in development studies it also has a number of use. The following provides a brief glimpse-

i. **Transition from one social formation to another or systematic transition:** In the grand Hegelian-Marxian scheme, societies evolve through stages and thus experience transition from one social stage to another. The most concise formulation of this concept can be found in Marx, where it is postulated that human societies have crossed Asiatic, antique, feudal and modern bourgeois stages, and is marching towards a future communist stage. This kind of transition may be called systematic transition meaning transition from one social system to another.

ii. **Transition from agriculture to industry:** One of the early use of the term transition has been to refer to the shift of the economy from agriculture to industry. The term was thereby associated with the concept of structural change the focused on the changes in the composition of the GDP. In Marxian scheme, this transition from agriculture to industry is generally thought to be a part of the transition from feudalism to capitalism. On the other hand, Arthur Lewis models this transition is viewed as a process of shift of labor from the tradition sector to the modern sector, without always making explicit the institutional arrangement under which this shift takes place.

iii. **Transition from planning to market-** The term transition has often been used to refer to the switch from central planning to market. Central planning as a method of coordination of economic

activities of the country as a whole and market is to efficient allocation of resources through market. Central planning was arose first at USSR and other socialist countries. But today's large and complex economies cannot be coordinated efficiently without allowing market as an appropriate role. As a result this transition has been a common feature across all socialist countries.

iv. Transition from public to private ownership of productive system: The term transition has also been used in recent years to refer to the switch from public to private ownership of productive assets. While there is a broad consensus about the necessity of a transition from total planning to market. The question whether this switch has to be accompanied by a transition from public to private ownership of productive assets remains controversial. Even if it is agreed that both these transitions have to occur, the question remains regarding the pace, extent and interrelationships of these transitions.

v. Transition from one-party to multi-party system: Yet another way in which the term transition has been used in the recent period is to refer to the change from one party political systems to multiparty systems. Proceeding from the theory of the 'dictatorship of the proletariat' the USSR gravitated to a one party based political system. Similar one party systems were adopted by other socialist countries too. Transition from planning to market need to be accompanied with transition from one party to multiparty system. Though not all agreed on this issue.

vi. Transition from socialism to capitalism: The combination of transition from planning to market, public to private ownership, and one-party to multi-party system is often referred to as the transition from socialism to capitalism. From this perspective, the former are particular dimension of the latter general, systemic transition. This transition matches in a sense with the Hegelian-Marxian concept of systemic transition from one social-economic formation to another. However, the direction of this transition is opposite to what was postulated by the Marxian scheme, noted above. Some scholars have used this reverse transition as a proof that Marxism is wrong, and that capitalism is the end of history. Others however do not agree that history ends with capitalism and instead point to the multiple crises faced by capitalism and the new vistas constantly opened up by technological progress as evidence of the necessity and possibility of further social evolution. Only history will prove whether history has ended.

vii. Systematic and stand-alone economic transition: The experience therefore shows that economic transition can take place in two ways. The first is as a part of the systemic transition and the second is a stand-alone process. While the former republics of the USSR and east European countries provide examples of the first, China and Vietnam offer examples of the seconds. There is therefore a sharp contrast between the economic transition processes witnessed by these two groups of countries.

7. Describe the role of shock therapy vs gradual approach to transition.

Answer: The transition debates centered generally around two main issues. The first concerns interrelationships among different specific dimensions of transition. The second concerns the pace of transition. These two issues in turn are related. An important question in regard to the first

concern was whether transition from public to private ownership of productive assets was a necessary precondition or accompaniment of transition from planning to market. The questions regarding interrelationships also involved questions regarding sequencing. Whether there is a scope of sequencing of the different dimensions of transition or they have to be undertaken simultaneously was a big concern. If sequencing was possible, the right way of sequencing is also having to be determined.

The second concern 'the pace of transition' had many questions too. In response to that questions, broadly two different approaches to transition emerged. One of them came to be known as the Big Bang or the shock therapy approach and the other is the gradual approach. These names suggest that the distinction between these two approaches concerns mainly the pace of transition. The issues of interrelationship and pace are connected. For example, the advocates of the Big Bang approach tend to suggest that the transition has to proceed along all the dimensions almost simultaneously. By contrast, the proponents of the gradual approach not only argue for a slower pace but also tend to allow sequencing of the different dimensions of transition. Generally, the area study scholars were more in favour of the gradual approach. By contrast, more scholars from the economics background advocated the big bang approach.

8. Describe the causes and effects of civil war in USA.

Answer: The US Civil War lasted from 1861 to 1865 and led to over 618,000 casualties. Its causes can be traced back to tensions that formed early in the nation's history. Following are the top five causes that led to the "War Between the States."

1. Economic and social differences between the North and the South.

With Eli Whitney's invention of the cotton gin in 1793, cotton became very profitable. This machine was able to reduce the time it took to separate seeds from the cotton.

However, at the same time the increase in the number of plantations willing to move from other crops to cotton meant the greater need for a large amount of cheap labor, i.e. slaves. Thus, the southern economy became a one crop economy, depending on cotton and therefore on slavery. On the other hand, the northern economy was based more on industry than agriculture. In fact, the northern industries were purchasing the raw cotton and turning it into finished goods. This disparity between the two set up a major difference in economic attitudes. The South was based on the plantation system while the North was focused on city life.

This change in the North meant that society evolved as people of different cultures and classes had to work together. On the other hand, the South continued to hold onto an antiquated social order.

2. States versus federal rights.

Since the time of the Revolution, two camps emerged: those arguing for greater state rights and those arguing that the federal government needed to have more control. The first organized government in the US after the American Revolution was under the Articles of Confederation.

The thirteen states formed a loose confederation with a very weak federal government. However, when problems arose, the weaknesses of the Articles caused the leaders of the time to come together at the Constitutional Convention and create, in secret, the US Constitution. Strong proponents of state rights like Thomas Jefferson and Patrick Henry were not present at this meeting. Many felt that the new constitution ignored the rights of states to continue to act independently. They felt that the states should still have the right to decide if they were willing to accept certain federal acts. This resulted in the idea of nullification, whereby the states would have the right to rule federal acts unconstitutional.

The federal government denied states this right. However, proponents such as John C. Calhoun fought vehemently for nullification. When nullification would not work and states felt that they were no longer respected, they moved towards secession.

3. The fight between Slave and Non-Slave State Proponents.

As America began to expand, first with the lands gained from the Louisiana Purchase and later with the Mexican War, the question of whether new states admitted to the union would be slave or free. The Missouri Compromise passed in 1820 made a rule that prohibited slavery in states from the former Louisiana Purchase the latitude 36 degrees 30 minutes north except in Missouri. During the Mexican War, conflict started about what would happen with the new territories that the US expected to gain upon victory. David Wilmot proposed the Wilmot Proviso in 1846 which would ban slavery in the new lands. However, this was shot down too much debate. The Compromise of 1850 was created by Henry Clay and others to deal with the balance between slave and free states, northern and southern interests. One of the provisions was the fugitive slave act. Another issue that further increased tensions was the Kansas-Nebraska Act of 1854. It created two new territories that would allow the states to use popular sovereignty to determine whether they would be free or slave. The real issue occurred in Kansas where pro-slavery Missourians began to pour into the state to help force it to be slave. They were called "Border Ruffians." Problems came to a head in violence at Lawrence, Kansas. The fighting that occurred caused it to be called "Bleeding Kansas." The fight even erupted on the floor of the senate when anti-slavery proponent Charles Sumner was beat over the head by South Carolina's Senator Preston Brooks.

4. Growth of the Abolition Movement.

Increasingly, the northerners became more polarized against slavery. Sympathies began to grow for abolitionists and against slavery and slaveholders. This occurred especially after some major events including: the publishing of Harriet Beecher Stowe's *Uncle Tom's Cabin*, the Dred Scott Case, John Brown's Raid, and the passage of the fugitive slave act that held individuals responsible for harboring fugitive slaves even if they were located in non-slave states.

5. The election of Abraham Lincoln.

Even though things were already coming to a head, when Lincoln was elected in 1860, South Carolina issued its "Declaration of the Causes of Secession." They believed that Lincoln was anti-slavery and in favor of Northern interests. Before Lincoln was even president, seven states had seceded from the Union: South Carolina, Mississippi, Florida, Alabama, Georgia, Louisiana, and Texas.

Effects of the Civil War

The Civil War was one of the most tragic wars in American history. More Americans died then in all other wars combined. Brother fought against brother and the nation was torn apart. In the end, we must look at the important consequences of the conflict. There may be others, but this is a good list to work off.

- A. The nation was reunited and the southern states were not allowed to secede.
- B. The South was placed under military rule and divided into military districts. Southern states then had to apply for readmission to the Union.
- C. The Federal government proved itself supreme over the states. Essentially this was a war over states rights and federalism and the victor was the power of the national government.
- D. Slavery was effectively ended. While slavery was not officially outlawed until the passage of the 13th amendment, the slaves were set free upon the end of the war.
- E. Reconstruction, the plan to rebuild America after the war, began.
- F. Industrialism began as a result of the increase in wartime production and the development of new technologies.

9. What are the causes of great depression in USA?

Answer: The Great Depression was a severe worldwide economic depression that took place mostly during the 1930s, beginning in the United States. The timing of the Great Depression varied across the world; in most countries, it started in 1929 and lasted until the late 1930s. It was the longest, deepest, and most widespread depression of the 20th century. The Great Depression is commonly used as an example of how intensely the global economy can decline. The Great Depression started in the United States after a major fall in stock prices that began around September 4, 1929, and became worldwide news with the stock market crash of October 29, 1929, (known as Black Tuesday). Between 1929 and 1932, worldwide gross domestic product (GDP) fell by an estimated 15%. By comparison, worldwide GDP fell by less than 1% from 2008 to 2009 during the Great Recession. Some economies started to recover by the mid-1930s. However, in many countries, the negative effects of the Great Depression lasted until the beginning of World War II. The Great Depression had devastating effects in both rich and poor countries. Personal income, tax revenue, profits and prices dropped, while international trade fell by more than 50%.

Unemployment in the U.S. rose to 23% and in some countries rose as high as 33%. [6] Cities around the world were hit hard, especially those dependent on heavy industry. Construction was virtually halted in many countries. Farming communities and rural areas suffered as crop prices fell by about 60%. Facing plummeting demand with few alternative sources of jobs, areas dependent on primary sector industries such as mining and logging suffered the most.

Economic historians usually consider the catalyst of the Great Depression to be the sudden devastating collapse of U.S. stock market prices, starting on October 24, 1929. However, [11] some dispute this conclusion and see the stock crash as a symptom, rather than a cause, of the Great Depression. The two classic competing economic theories of the Great Depression are the Keynesian (demand-driven) and the monetarist explanation. There are also various heterodox theories that downplay or reject the explanations of the Keynesians and monetarists. The consensus among demand-driven theories is that a large-scale loss of confidence led to a sudden reduction in consumption and investment spending. Once panic and deflation set in, many people believed they could avoid further losses by keeping clear of the markets. Holding money became profitable as prices dropped lower and a given amount of money bought ever more goods, exacerbating the drop in demand. Monetarists believe that the Great Depression started as an ordinary recession, but the shrinking of the money supply greatly exacerbated the economic situation, causing a recession to descend into the Great Depression.

Keynesian view: British economist John Maynard Keynes argued in *The General Theory of Employment, Interest and Money* that lower aggregate expenditures in the economy contributed to a massive decline in income and to employment that was well below the average. In such a situation, the economy reached equilibrium at low levels of economic activity and high unemployment. Keynes's basic idea was simple: to keep people fully employed, governments have to run deficits when the economy is slowing, as the private sector would not invest enough to keep production at the normal level and bring the economy out of recession. Keynesian economists called on governments during times of economic crisis to pick up the slack by increasing government spending or cutting taxes. As the Depression wore on, Franklin D. Roosevelt tried public works, farm subsidies, and other devices to restart the U.S. economy, but never completely gave up trying to balance the budget. According to the Keynesians, this improved the economy, but Roosevelt never spent enough to bring the economy out of recession until the start of World War II. [25]

Monetarist view: The monetarist explanation was given by American economists Milton Friedman and Anna J. Schwartz. [26] They argued that the Great Depression was caused by the banking crisis that caused one-third of all banks to vanish, a reduction of bank shareholder wealth and more importantly monetary contraction of 35%, which they called "The Great Contraction". This caused a price drop of 33% (deflation). [27] By not lowering interest rates, by not increasing the monetary base and by not injecting liquidity into the banking system to prevent it from crumbling, the Federal Reserve passively watched the transformation of a normal recession into the Great Depression. Friedman and Schwartz argued that the downward turn in the economy, starting with the stock market crash, would merely have been an ordinary recession if the Federal Reserve had taken aggressive action.

10. Do you think new ideal program played an effective role to recover the worse situation? Why or why not? /Write down the importance of first hundred day of Franklin D. Roosevelt's New Deal Program at United State. / "New Deal programs enacted by President Roosevelt in the United States between 1933 and 1938 were in response to the great depression and focused on what historians refer to as the '3 R's"-do you agree? Briefly explain your argument.

Answer: The first 100 days of Franklin D. Roosevelt's presidency began on March 4, 1933, the day Franklin D. Roosevelt was inaugurated as the 32nd president of the United States. He had signaled his intention to move with unprecedented speed to address the problems facing the nation in his inaugural address, declaring: "I am prepared under my constitutional duty to recommend the measures that a stricken nation in the midst of a stricken world may require." Roosevelt's specific priorities at the outset of his presidency were getting Americans back to work, protecting their savings and creating prosperity, providing relief for the sick and elderly, and getting industry and agriculture back on their feet.

He immediately summoned the United States Congress into a three-month (nearly 100-day) special session, during which he presented and was able to rapidly get passed a series of 15 major bills designed to counter the effects of the Great Depression. President Roosevelt passed 76 laws during his first 100 days as well, many directing towards reviving the economy of the United States through various public works projects. Following Roosevelt's three terms in office (and just under three months of a fourth term), many other presidents also made significant decisions during their first 100 days.

The 100th day of his presidency was June 11, 1933. On July 24, 1933, Roosevelt gave a radio address in which he coined the term "first 100 days." Looking back, he began, "we all wanted the opportunity of a little quiet thought to examine and assimilate in a mental picture the crowding events of the hundred days which had been devoted to the starting of the wheels of the New Deal." Since then, the first 100 days of a presidential term has taken on symbolic significance, and the period is considered a benchmark to measure the early success of a president.

Franklin D. Roosevelt spent the first week of his presidency dealing with a month-long series of bank closures that were ruining families nationwide. He closed the entire American banking system on March 6, 1933. On March 9, Congress passed the Emergency Banking Act, which Roosevelt used to effectively create federal deposit insurance when the banks reopened. At 10 p.m. ET that Sunday night, on the eve of the end of the bank holiday, Roosevelt spoke to a radio audience of more than 60 million people, to tell them in clear language "what has been done in the last few days, why it was done, and what the next steps are going to be." It was the first of 30 evening radio addresses that came to be called the Fireside Chats.

The new deal: While Roosevelt's main goal was to increase employment, he also recognized the need for a support system for the poor. The Federal Emergency Relief Administration, started in 1933, addressed the urgent needs of the poor. It spent a stunning 500 million dollars on soup kitchens, blankets, employment schemes, and nursery schools. The Federal Emergency Relief

Administration was shut down in 1935, and its work taken over by two completely new federal agencies, the Works Progress Administration and the Social Security Administration. FERA was involved with a broad range of projects, including construction, projects for professionals (e.g., writers, artists, actors, and musicians), and the production of consumer goods. They also focused on giving food to the poor, educating workers, and providing nearly 500,000 jobs for women

Civilian Conservation Corps (CCC)

On March 9, 1933, Roosevelt ordered some of his senior staff to put unemployed men to work on conservation projects by summertime. On March 21, he submitted a proposal to Congress calling for the employment of 250,000 men by June. It was soon passed into law on March 31, giving the President authority to establish the Emergency Conservation Work (ECW) program. The ECW was the program's official name until 1937, when the popular name of CCC became official. Above and beyond other Hundred-Day programs, the CCC was Roosevelt's favorite creation, often called his "pet." The Civilian Conservation Corps allowed unemployed men to work for six months on conservation projects such as planting trees, preventing soil erosion, and combating forest fires. Workers lived in militarized camps across the country and made \$30 per month. By the end of the program in 1942, the CCC had employed 2.5 million men.

Agricultural Adjustment Administration (AAA)

In May 1933, the Agricultural Adjustment Administration was created in order to raise crop prices in response to the rural economic crisis. The administration helped to control the falling prices by setting quotas to reduce farm production. Beyond price adjustment, the act helped farmers to modernize and implement innovative farming methods. In extreme cases, the agency helped farmers with their mortgages and provided direct payment for farmers who would agree to sign acreage reduction contracts.

National Industry Recovery Act (NIRA)

The National Industry Recovery Act came into place on June 16, 1933, just five days after the end of 100 days. The act was an attempt to rebuild the economy from the severe deflation caused by the Great Depression. The act consists of two sections; the first promoted industrial recovery, and the second established the Public Works Administration (PWA). The National Industry Recovery Act set up the Public Works Administration (PWA) and the National Recovery Administration (NRA). The PWA used government money to build infrastructure, such as roads and bridges, for the state. This demand for construction created new jobs, which achieved Roosevelt's main priority. The National Recovery Act also improved working conditions and outlawed child labor. Wages increased, making it possible for workers to earn and spend more.

Tennessee Valley Authority (TVA)

The Tennessee Valley Authority (TVA) was established for building dams on the Tennessee River. These dams were designed to stimulate farming in the area while creating hydroelectricity, as well as prevent flooding and deforestation. The hydroelectric power was used effectively to provide

electricity for nearby houses. The TVA marked the first time the federal government competed against private companies in the business of selling electricity.

Criticism

Main article: Criticism of Franklin D. Roosevelt & Criticism of the New Deal and of tax policy
FDR's New Deal faced considerable opposition from both sides of the aisle. Democratic reformists felt the New Deal did not go far enough and Republicans felt that FDR was overstepping his authority. Roosevelt's biggest left-leaning critic was also his biggest political rival. Louisiana's Gov. Huey Long argued that the New Deal didn't go far enough. Long, positioning for his own prospective presidential run, had pushed expansive social programs and infrastructure investments in his state, and wanted to see FDR follow suit on a national level. Although some Democrats had turned on FDR due to the New Deal, the strongest opposition came from Republicans as well as the business sector. The most popular complaints were that the legislative package cost too much and overstepped the government's authority.

11. Describe some significant new deal programs which still remains in operation in today's world.

Answer: President Franklin Delano Roosevelt guided the United States through one of the toughest periods in its history. He was sworn into office as the Great Depression was tightening its grip on the country. Millions of Americans lost their jobs, their homes, and their savings.

FDR's New Deal was a series of federal programs launched to reverse the nation's decline. New Deal programs put people back to work, helped banks rebuild their capital, and restored the country's economic health. While most New Deal programs ended as the U.S. entered World War II, a few still survive.

1. Federal Deposit Insurance Corporation: Between 1930 and 1933, nearly 9,000 U.S. banks collapsed.¹ American depositors lost \$1.3 billion dollars in savings.² This wasn't the first time Americans had lost their savings during economic downturns, and bank failures occurred repeatedly in the 19th century. President Roosevelt saw an opportunity to end the uncertainty in the American banking system, so depositors wouldn't suffer such catastrophic losses in the future.

The Banking Act of 1933, also known as the Glass-Steagall Act, separated commercial banking from investment banking and regulated them differently. The legislation also established the Federal Deposit Insurance Corporation (FDIC) as an independent agency. The FDIC improved consumer confidence in the banking system by insuring deposits in Federal Reserve member banks, a guarantee they still provide bank customers today. In 1934, only nine of the FDIC-insured banks failed, and no depositors in those failed banks lost their savings.¹

FDIC insurance was originally limited to deposits up to \$2,500.¹ Today, deposits up to \$250,000 are protected by the FDIC coverage.² Banks pay the insurance premiums to guarantee their customers' deposits.

2. Federal National Mortgage Association (Fannie Mae): Much like in the recent financial crisis, the 1930's economic downturn came on the heels of a housing market bubble that burst. By the

start of the Roosevelt administration in 1932, nearly half of all American mortgages were in default, and at its worst in 1933, some 1,000 home loans were foreclosed every day.³ Building construction came to a halt, putting workers out of their jobs and amplifying the economic fallout. As banks failed by the thousands, even worthy borrowers couldn't get loans to buy homes.

The Federal National Mortgage Association, also known as Fannie Mae, was established in 1938 when President Roosevelt signed an amendment to the National Housing Act (passed in 1934). Fannie Mae's purpose was to purchase loans from private lenders, freeing up capital so those lenders could fund new loans. Fannie Mae helped fuel the post-WWII housing boom by financing loans for millions of GIs.⁴ Today, Fannie Mae and a companion program, Freddie Mac, are publicly held companies that finance millions of home purchases.

3. National Labor Relations Board: Workers at the turn of the 20th century were gaining steam in their efforts to improve working conditions. By the close of World War I, labor unions claimed 5 million members. But management started cracking the whip in the 1920s, using injunctions and restraining orders to stop workers from striking and organizing. Union membership dropped to 3 million, just 300,000 more than pre-WWI numbers.⁵

In February 1935, Sen. Robert F. Wagner of New York introduced the National Labor Relations Act, which would create a new agency dedicated to enforcing employee rights. The National Labor Relations Board was launched when FDR signed the Wagner Act in July of that year. Though the law was initially challenged by business, the U.S. Supreme Court ruled the NLRB was constitutional in 1937.

4. Securities and Exchange Commission: After World War I, there was an investment boom in the largely unregulated securities markets. An estimated 20 million investors bet their money on securities, looking to get rich and get their piece of what became a \$50 billion pie.⁶ When the market crashed in October 1929, those investors lost not only their money but also their confidence in the market.

The main goal of the Securities Exchange Act of 1934 was to restore consumer confidence in the securities markets. The law established the Securities and Exchange Commission to regulate and oversee brokerage firms, stock exchanges, and other agents. FDR appointed Joseph P. Kennedy, father of future President John F. Kennedy, as the SEC's first chairman.

The SEC is still in place, and works to ensure that "all investors, whether large institutions or private individuals...have access to certain basic facts about an investment prior to buying it, and so long as they hold it."

5. Social Security: In 1930, 6.6 million Americans were age 65 and older.⁷ Retirement was nearly synonymous with poverty. As the Great Depression took hold and unemployment rates soared, President Roosevelt and his allies in Congress recognized the need to establish some kind of safety net program for the elderly and disabled. On August 14, 1935, FDR signed the Social Security Act, creating what has been described as the most effective poverty mitigation program in U.S. history.

With the passage of the Social Security Act, the U.S. government established an agency to register citizens for benefits, to collect taxes on both employers and employees to fund the benefits, and to distribute those funds to beneficiaries. Social Security helped not only the elderly, but also the blind, the unemployed, and dependent children.

Social Security provides benefits to over 63 million Americans today, including over 46 million senior citizens.⁸ Although some factions in Congress have attempted to privatize or dismantle Social Security in recent years, it remains one of the most popular and effective New Deal programs.

6. Soil Conservation Service: The U.S. was already in the grip of the Great Depression when things took a turn for the worse. A persistent drought that started in 1932 wreaked havoc on the Great Plains. A massive dust storm, dubbed the Dust Bowl, carried the region's soil away with the wind in the mid-1930s. The problem was literally carried to the steps of Congress, as soil particles coated Washington, D.C., in 1934.

On April 27, 1935, FDR signed legislation establishing the Soil Conservation Service (SCS) as a program of the U.S. Department of Agriculture (USDA). The agency's mission was to study and solve the problem of the nation's eroding soil. The SCS performed surveys and developed flood control plans to prevent soil from being washed away. They also established regional nurseries to cultivate and distribute seeds and plants for soil conservation work.

In 1937, the program was expanded when the USDA drafted the Standard State Soil Conservation Districts Law. Over time, over three thousand Soil Conservation Districts were established to help farmers develop plans and practices for conserving the soil on their land.⁹

During the Clinton administration in 1994, Congress reorganized the USDA and renamed the Soil Conservation Service to reflect its broader scope. Today, the Natural Resources Conservation Service (NRCS) maintains field offices across the country, with staff trained to help landowners implement science-based conservation practices.

7. Tennessee Valley Authority: The Tennessee Valley Authority may be the most surprising success story of the New Deal. Established on May 18, 1933, by the Tennessee Valley Authority Act, the TVA was given a tough but important mission. Residents of the impoverished, rural region desperately needed an economic boost. Private power companies had largely ignored this part of the country, as little profit could be gained by connecting poor farmers to the power grid.

The TVA was tasked with several projects focused on the river basin, which spanned seven states. In addition to producing hydroelectric power for the under-served region, the TVA built dams for flood control, developed fertilizers for agriculture, restored forests and wildlife habitat, and educated farmers about erosion control and other practices to improve food production. In its first decade, the TVA was supported by the Civilian Conservation Corps, which established almost 200 camps in the area.

While many New Deal programs faded when the U.S. entered World War II, the Tennessee Valley Authority played an important role in the country's military success. The TVA's nitrate plants produced the raw materials for munitions. Their mapping department produced the aerial maps used by aviators during campaigns in Europe. And when the U.S. government decided to develop the first atomic bombs, they built their secret city in Tennessee, where they could access millions of kilowatts produced by the TVA.

The Tennessee Valley Authority still provides power to 10 million people in seven states and oversees a combination of hydroelectric, coal-fired, and nuclear power plants. It remains a testament to the enduring legacy of FDR's New Deal.

12. Briefly define free market economy. Do you recognize America as a free market economy? Explain your answer.

Answer: The system whereby prices of commodities or services freely rise or fall when the buyer's demand for them rises or falls or the seller's supply of them decreases or increases is known as free market. Free-market analysis argues that markets alone are efficient—product markets provide the best signals for investments in new activities; labor markets respond to these new industries in appropriate ways; producers know best what to produce and how to produce it efficiently; and product and factor prices reflect accurate scarcity values of goods and resources now and in the future. Competition is effective, if not perfect; technology is freely available and nearly costless to absorb; information is also perfect and nearly costless to obtain. Under these circumstances, any government intervention in the economy is by definition distortionary and counterproductive. Free-market development economists have tended to assume that developing-world markets are efficient and that whatever imperfections exist are of little consequence.

The United States has a mixed economy. It works according to an economic system that features characteristics of both capitalism and socialism. A mixed economic system protects some private property and allows a level of economic freedom in the use of capital, but also allows for governments to intervene in economic activities in order to achieve social aims and for the public good.

How the U.S. Government Impacts the Economy: The U.S. government has always played a role in the economic affairs of the nation. Over the course of its history, many services began to come under the influence or direct control of the public sector. During some periods in U.S. history, however, it was closer to a true free-market economy, in which the private sector, or individuals, is unfettered in its economic behavior, actions, and decisions.

A "true" or "absolute" free market economy requires that all property be owned by private individuals and all goods and services be privately provided. Prices are allowed to fluctuate based on supply and demand, and all transactions are voluntary, not compelled, or restricted by the government. This system is also referred to as "pure capitalism" or "laissez-faire capitalism."

Conversely, a mixed economic system has elements of both free markets and centrally planned economic controls by the government. There are several different ways market economies are

changed in a mixed economy. Governments might place regulatory restrictions on voluntary transactions in the private market. Private establishments might require government-granted licenses to perform certain activities. Some activities might be banned altogether. Governments might also own public property or provide public services and use tax policy or subsidies to change the price signals in the market. In a mixed economy, many private transactions are allowable but only under conditions subject to the government's goals.

Elements of a Mixed Economy: The U.S. government controls or partially controls many goods or services, such as education, courts, roads, hospital care, and postal delivery. It also provides subsidies to agricultural producers, oil companies, financial companies, and utility firms. For example, private individuals cannot legally provide or purchase certain types of goods, such as cocaine, haggis, raw milk (in some states), and most types of flavored cigarettes. Other products face heavy taxation to discourage their use.

In the U.S., private businesses need to register with government agencies, and many types of professionals can only operate with government-approved licenses, including funeral attendants, auctioneers, private investigators, makeup artists, hairstylists, real estate agents, and financial advisers.

Nearly every type of business and every form of economic exchange is affected by government policy in the U.S. The Food and Drug Administration (FDA) must approve consumable foods and medicines before they can be sold and requires producers to provide very specific disclaimers.¹ Businesses can only advertise their goods and services if they comply with the Federal Trade Commission (FTC).² The hiring, compensating, and firing of employees must comply with the Fair Labor Standards Act (FLSA), the Employee Retirement Income Security Act (ERISA) and many other regulations from agencies such as the Department of Labor (DOL). The U.S. government keeps partial control over the economy with regulatory restrictions, such as licensing or banning certain activities.

Financial Policies: The U.S. government also plays a role in the economy via financial policies that can influence inflation and business production. The Federal Reserve is charged with controlling monetary policy (which has to do with the quantity, velocity, and availability of the circulating money supply), and Congress and the executive branch handle fiscal policy (which focuses on government revenue and spending).

Expansionary monetary policy aims to inject liquidity, stimulate lending and spending, and discourage savings. Contractionary policy is supposed to reduce aggregate demand, encourage savings, slow down the rate of inflation or burst asset bubbles. If an expansionary policy is analogous to pushing on the gas pedal, then the contractionary policy is stepping on the brakes.

13. What do you mean by great leap forward? / Define great leap forward and demographic transition in People's Republic of China (PRC)?

Answer: Great Leap Forward, in Chinese history, the campaign undertaken by the Chinese communists between 1958 and early 1960 to organize its vast population, especially in large-scale rural communes, to meet China's industrial and agricultural problems. The Chinese hoped to

develop labour-intensive methods of industrialization, which would emphasize manpower rather than machines and capital expenditure. Thereby, it was hoped, the country could bypass the slow, more typical process of industrialization through gradual accumulation of capital and purchase of heavy machinery. The Great Leap Forward approach was epitomized by the development of small backyard steel furnaces in every village and urban neighbourhood, which were intended to accelerate the industrialization process.

The promulgation of the Great Leap Forward was the result of the failure of the Soviet model of industrialization in China. The Soviet model, which emphasized the conversion of capital gained from the sale of agricultural products into heavy machinery, was inapplicable in China because, unlike the Soviet Union, it had a very dense population and no large agricultural surplus with which to accumulate capital. After intense debate, it was decided that agriculture and industry could be developed at the same time by changing people's working habits and relying on labour rather than machine-centred industrial processes. An experimental commune was established in the north-central province of Henan early in 1958, and the system soon spread throughout the country.

The promulgation of the Great Leap Forward was the result of the failure of the Soviet model of industrialization in China. The Soviet model, which emphasized the conversion of capital gained from the sale of agricultural products into heavy machinery, was inapplicable in China because, unlike the Soviet Union, it had a very dense population and no large agricultural surplus with which to accumulate capital. After intense debate, it was decided that agriculture and industry could be developed at the same time by changing people's working habits and relying on labour rather than machine-centered industrial processes. An experimental commune was established in the north-central province of Henan early in 1958, and the system soon spread throughout the country.

This breakdown of the Chinese economy caused the government to begin to repeal the Great Leap Forward program by early 1960. Private plots and agricultural implements were returned to the peasants, expertise began to be emphasized again, and the communal system was broken up. The failure of the Great Leap produced a division among the party leaders. One group blamed the failure of the Great Leap on bureaucratic elements who they felt had been overzealous in implementing its policies. Another faction in the party took the failure of the Great Leap as proof that China must rely more on expertise and material incentives in developing the economy. Some concluded that it was against the latter faction that Mao Zedong launched his Cultural Revolution in early 1966.

14. What do you mean by Lewis turning point? Does China's industrialization support Lewis growth model?

Answer: The Lewis turning point is a situation in economic development where surplus rural labor is fully absorbed into the manufacturing sector. This typically causes agricultural and unskilled industrial real wages to rise. The term is named after economist W. Arthur Lewis. Shortly after the Lewis point, an economy requires balanced growth policies.

Several additional problems, rooted in China's specific institutional features, arise in applying the Lewis model to China. First, the theoretical 'modern-traditional' dichotomy not the same as the empirical 'urban-rural' or 'agriculture-industry' dichotomy. This is more true is the case of China, because, on the one hand, her urban/modern sector has a large presence of informal enterprises using pre-industrial technologies. On the other hand, her rural economy is also heterogeneous, particularly due to the phenomenal growth of TVE that use industrial technologies right inside what are administratively classified as rural areas. The problems is aggravated by the fact that formal boundaries of urban and rural areas in China undergo frequent changes because of administrative and political considerations, so that these boundaries often do not correspond to their expected economic content.

The second problem concerns movement of labor between traditional and modern sector. The Lewis model assumes that the flow proceeds in an unrestricted fashion as industrialization progresses. This assumption does not hold for China, because of its Hukou system, which restricts internal migration. Over time Hukou restrictions have been relaxed and/or modified, making internal migration easier. However, the system remains, and the situation is still not one of free flow of labor from the traditional to the modern sector.

A more general institutional characteristic of China is the legacy of central planning, of which the Hukou system is only one concrete manifestation. Lewis conceived his model to explain the capitalist growth of developing countries. That might be a reason for researchers not being that enthusiastic about applying the Lewis model to China, even though it has been applied extensively to Japan, Taiwan and other East Asian countries. Because wages under central planning are determined by fiat/command/administrative methods, it might have been thought that the Lewis model, which is a sense relies on the market rationale, was not the appropriate economic fundamental, even when it is carried out under alternative, non-capitalist institutions. In fact, Lewis himself mentions that the experience of the former USSR, along with that of the UK, served for him as the empirical reference of his model. Nevertheless, in considering industrialization under non-capitalist institutional frame works, one has to keep in mind that the planners impose choices, inspired by political or ideological considerations. China's situation is further complicated by the fact that it is currently neither under central planning nor entirely under market conditions. Rather, it is in a transition from the former to the latter. This complex institutional context, on the one hand, makes the analysis more challenging, and on the other hand, offers more opportunities to examine whether and how institutions influence the underlying economic process of industrialization and expansion of the modern sector through absorption of labor from the traditional sector.

15. What do you mean by middle income trap? Does inequality lead China to the middle income trap?

Answer: The middle income trap refers to the phenomenon of countries in the middle income category stagnating. These countries have raised their per capita income level from low to middle income status, but have failed to progress further and reach the high income category. Whether or not this situation should be characterized as a trap is disputed. The notion of the Middle Income Country (MIT) does not specify how many years a country has to be in the middle income category in order to be characterized as a MIT country. Also, it is not clear whether they have to be

consistently in the MIU category or they can be in the broad MI category and move up and down between MIL and MIU. The countries that reached the upper MI group a long time ago, and yet for some reason have failed to move up and graduate to the HI category are the MIT countries. As per the exercise above, these countries include Argentine, Botswana, Brazil, Gabon, Latvia, Lithuania, Mauritius, Mexico, Seychelles, South Africa, St. Lucia, Turkey and Uruguay. In contrast to these countries are the East Asian economies such as Japan, South Korea, Chinese Taiwan, Chinese Hong Kong and Singapore, which, after reaching middle income status, moved forward and reached the high income level. Given the above contrasting historical record, it is expected to ask whether China will be able to follow its successful East Asian neighbors or it will meet the fate of the MIT countries.

Many researchers have indeed pointed out that inequality may be particularly harmful for countries that are trying to graduate from the middle to the high income category. Inequality may affect growth negatively when a country's income is low but not when income is high. Middle income countries can no longer compete (because their wages are now high) in the international market with low-wage countries, but at the same time are unable to compete with developed countries in producing skill, knowledge and capital intensive products and services. In order to overcome this challenge, these scholars suggest that countries need to switch their development strategy once they have moved up from the low to the middle income stage. The price elasticity of demand in the international market for low-wage products is high. Therefore, for success in the international market, low income countries do not have to worry about demand and instead can focus only on supply. However, after a country has entered the middle income stage, and its wage level has risen, it has to succeed in exporting technologically more sophisticated products. Success in the world market of these products however requires a long period of product development using the domestic market. Yet, a large domestic market for technologically sophisticated products cannot emerge if the distribution of income in the country is too unequal. As a result, inequality may lead a country to MIT. A high degree of inequality is harmful for a country as it aims to graduate from a middle income country to a high income country. Success in graduating to high income status requires moving from low-wage, labor-intensive manufacturing to high productivity, technologically sophisticated production and exports. China has three current problems

- i. Excessive investment and insufficient consumption
- ii. excessive money supply and credit and
- iii. excessive trade supply

Researchers think that the root of all these problems lies in inequality which is also harmful for political and social stability. Further increases in inequality in China will cause tensions and resentment among low-income groups, undermining social harmony and stability.

The discussion above suggests that inequality can indeed become a special problem for middle income countries. To examine the case of China we need first to examine inequality dynamics of China. Gini for China, after decreasing during the years 1978-1983, inequality in China has increased steadily, with its net Gini crossing 50 percent in 2004. By doing so, China's Gini moved away from the territory of the successful Asian economies and entered the territory of the MIT

countries. Though China's Gini too has decreases since, 2004, its Gini curve is now above those of all the MIT countries, except South Africa. Thus, China has not only deviated from the East Asian development model, it had ensconced itself firmly in the league of the MIT countries, so far as inequality level and trends are concerned. No wonder there that the question has been asked whether China is heading toward an inequality trap. Which will then lead it to the middle income trap.

16. What are the favorable factors for China to be an emerging superpower?

Answer: Prior to the initiation of economic reforms and trade liberalization nearly 40 years ago, China maintained policies that kept the economy very poor, stagnant, centrally controlled, vastly inefficient, and relatively isolated from the global economy. Since opening up to foreign trade and investment and implementing free-market reforms in 1979, China has been among the world's fastest-growing economies, with real annual gross domestic product (GDP) growth averaging 9.5% through 2018, a pace described by the World Bank as "the fastest sustained expansion by a major economy in history." Such growth has enabled China, on average, to double its GDP every eight years and helped raise an estimated 800 million people out of poverty. China has become the world's largest economy (on a purchasing power parity basis), manufacturer, merchandise trader, and holder of foreign exchange reserves. This in turn has made China a major commercial partner of the United States. China is the largest U.S. merchandise trading partner, biggest source of imports, and third-largest U.S. export market. China is also the largest foreign holder of U.S. Treasury securities, which help fund the federal debt and keep U.S. interest rates low.

As China's economy has matured, its real GDP growth has slowed significantly, from 14.2% in 2007 to 6.6% in 2018, and that growth is projected by the International Monetary Fund (IMF) to fall to 5.5% by 2024. The Chinese government has embraced slower economic growth, referring to it as the "new normal" and acknowledging the need for China to embrace a new growth model that relies less on fixed investment and exporting, and more on private consumption, services, and innovation to drive economic growth. Such reforms are needed in order for China to avoid hitting the "middle-income trap," when countries achieve a certain economic level but begin to experience sharply diminishing economic growth rates because they are unable to adopt new sources of economic growth, such as innovation.

Economists generally attribute much of China's rapid economic growth to two main factors: large-scale capital investment (financed by large domestic savings and foreign investment) and rapid productivity growth. These two factors appear to have gone together hand in hand. Economic reforms led to higher efficiency in the economy, which boosted output and increased resources for additional investment in the economy.

China has historically maintained a high rate of savings. When reforms were initiated in 1979, domestic savings as a percentage of GDP stood at 32%. However, most Chinese savings during this period were generated by the profits of SOEs, which were used by the central government for domestic investment. Economic reforms, which included the decentralization of economic production, led to substantial growth in Chinese household savings as well as corporate savings. As a result, China's gross savings as a percentage of GDP is the highest among major economies.

The large level of domestic savings has enabled China to support a high level of investment. In fact, China's gross domestic savings levels far exceed its domestic investment levels, which have made China a large net global lender.

Several economists have concluded that productivity gains (i.e., increases in efficiency) have been another major factor in China's rapid economic growth. The improvements to productivity were caused largely by a reallocation of resources to more productive uses, especially in sectors that were formerly heavily controlled by the central government, such as agriculture, trade, and services. For example, agricultural reforms boosted production, freeing workers to pursue employment in the more productive manufacturing sector. China's decentralization of the economy led to the rise of non-state enterprises (such as private firms), which tended to pursue more productive activities than the centrally controlled SOEs and were more market-oriented and more efficient. Additionally, a greater share of the economy (mainly the export sector) was exposed to competitive forces. Local and provincial governments were allowed to establish and operate various enterprises without interference from the government. In addition, FDI in China brought with it new technology and processes that boosted efficiency.

However, as China's technological development begins to converge with major developed countries (i.e., through its adoption of foreign technology), its level of productivity gains, and thus, real GDP growth, could slow significantly from its historic levels unless China becomes a major center for new technology and innovation and/or implements new comprehensive economic reforms. Several developing economies (notably several in Asia and Latin America) experienced rapid economic development and growth during the 1960s and 1970s by implementing some of the same policies that China has utilized to date to develop its economy, such as measures to boost exports and to promote and protect certain industries. However, at some point in their development, some of these countries began to experience economic stagnation (or much slower growth compared to previous levels) over a sustained time, a phenomenon described by economists as the "middle-income trap."¹⁴ This means that several developing (low-income) economies were able to transition to a middle-income economy, but because they were unable to sustain high levels of productivity gains (in part, because they could not address structural inefficiencies in the economy), they were unable to transition to a high-income economy.¹⁵ China may be at a similar crossroads now. The World Bank classifies development levels of economies using a per capita gross national income (GNI) methodology.¹⁶ According to the World Bank, China went from a low-income economy to a low-middle-income economy in 1997, and in 2010, it became an upper-middle-income country. China's 2017 per capita GNI (at \$8,690) was 38.7% below the level China would need to obtain to become a high-income economy. The Chinese government projects that China can cross the high-income threshold by 2025. It hopes to achieve this largely by making innovation a major source of future economic growth. Skeptics contend that innovation growth in China will be hard to achieve, especially if it is mainly state-driven and imposes new restrictions on foreign firms.

The Chinese government has indicated its desire to move away from its current economic model of fast growth at any cost to more "smart" economic growth, which seeks to reduce reliance on energy-intensive and high-polluting industries and rely more on high technology, green energy, and services. China also has indicated it wants to obtain more balanced economic growth.

17. What are the debates on sources of success in China and its coming challenges? Explain briefly.

Answer: China is currently undergoing a major restructuring of its economic model. Policies that were employed in the past to essentially produce rapid economic growth at any cost were very successful. However, such policies have entailed a number of costs (such as heavy pollution, widening income inequality, overcapacity in many industries, an inefficient financial system, rising corporate debt, and numerous imbalances in the economy) and therefore the old growth model is viewed by many economists as no longer sustainable. China has sought to develop a new growth model ("the new normal") that promotes more sustainable (and less costly) economic growth that puts greater emphasis on private consumption and innovation as the new drivers of the Chinese economy. Implementing a new growth model that sustains healthy economic growth could prove challenging unless China is able to effectively implement new economic reforms. Many analysts warn that without such reforms, China could face a period of stagnant economic growth and living standards, a condition referred to by economists as the "middle-income trap" (Several of these challenges are discussed below.

China's Incomplete Transition to a Market Economy

Despite China's three-decade history of widespread economic reforms, Chinese officials contend that China is a "socialist-market economy." This appears to indicate that the government accepts and allows the use of free market forces in a number of areas to help grow the economy, but the government still plays a major role in the country's economic development.

A State-Dominated Banking Sector, Excess Credit, and Growing Debt

China's banking system is largely dominated by state-owned or state-controlled banks. According to one analyst, the managers of China's state banks are drawn from the ranks of the Chinese Communist Party cadre system, which "enables the party and government leaderships to exert influence over bank lending."⁵⁷ In 2015, the top five largest banks in China in terms of assets were state-owned entities.⁵⁸ The percentage share of assets held by state-owned commercial banks (including the five large state-owned banks), the three government policy banks,⁵⁹ and joint-stock commercial banks (where government entities are a major stock holder), together accounted for 68.5% of total bank assets in China.⁶⁰ Foreign participation in China's banking system is relatively small, accounting for 1.6% of total bank assets.⁶¹ SOEs are believed to receive preferential credit treatment by government banks, while private firms must often pay higher interest rates or obtain credit elsewhere. According to one estimate, SOEs accounted for 85% (\$1.4 trillion) of all bank loans in 2009.⁶² It is believed that oftentimes SOEs do not repay their loans, which may have saddled the banks with an ever-increasing amount of nonperforming loans.⁶³ Many analysts contend that one of the biggest weaknesses of the banking system is that it lacks the ability to ration and allocate credit according to market principles, such as risk assessment.

Environmental Challenges

China's economic growth model has emphasized the growth of heavy industry in China, much of which is energy-intensive and high polluting. The level of pollution in China continues to worsen,

posing serious health risks to the population. The Chinese government often disregards its own environmental laws in order to promote rapid economic growth. China's environmental challenges are illustrated by the following incidents and reports.

- A 2018 report by ExxonMobil estimated that China contributed about 60% of the growth in global CO₂ emissions from 2000 to 2016, and that its emissions would surpass the combined CO₂ levels of the United States and EU by 2025.⁶⁶
- A 2017 OECD report estimated the health costs of China's air pollution in 2015 at \$1.4 trillion, equivalent to 7.8% of its GDP.⁶⁷
- A 2015 study by the Rand Corporation estimated that the costs (in terms of health impact and lost productivity) from China's air pollution were equal to 6.5% of GDP each year from 2000 to 2010. It further estimated the costs as a percentage of GDP of water pollution and soil degradation at an additional 2.1% and 1.1%, respectively.⁶⁸
- On August 12, 2015, a series of large explosions in several warehouses containing chemicals occurred in the Chinese port city of Tianjin, claiming the lives of at least 163 people. Some press reports have blamed poor government enforcement of environmental regulations for the disaster. For example, some in China have questioned why dangerous chemicals were warehoused so close to residential areas and have raised concerns over the extent of chemical contamination in the area that may have resulted from the explosions.
- The U.S. Embassy in Beijing, which monitors and reports air quality in China based on an air quality index of particulate matter (developed by the U.S. Environmental Protection Agency) considered to pose a health concern, reported that the air quality in Beijing for a majority of the days in January 2013 ranged from "unhealthy" to "hazardous" (based on 24-hour exposure) and, on a few days, it recorded high readings that were "beyond index."⁶⁹ The level of poor air quality in Beijing was termed by some in China as "Airpocalypse," and reportedly forced the government to shut down some factories and reduce the level of official cars on the road.⁷⁰ On December 9, 2013, China's media reported that half of China was blanketed by smog.⁷¹ The U.S. Consulate General in Shanghai reported that there were a number of days in December 2013 where its measurement of the air quality in Shanghai was hazardous or very unhealthy, and during some time periods on December 5, 2013, its readings were "beyond index." According to the U.S. Embassy in Beijing, from 2008 to 2015, nearly two-thirds of the days in Beijing had air pollution considered to be unhealthy.⁷²
- In February 2013, China's Geological Survey reportedly estimated that 90% of all Chinese cities had polluted groundwater, with two-thirds having "severely polluted" water.⁷³
- According to a 2012 report by the Asian Development Bank, less than 1% of the 500 largest cities in China meet the air quality standards recommended by the World Health Organization, and 7 of these are ranked among the 10 most polluted cities in the world.⁷⁴

The Chinese government has indicated that it is taking steps to reduce energy consumption, boost enforcement of environmental laws and regulations, reduce coal usage by expanding the use of cleaner fuels (such as natural gas) to general power, and relocate high-polluting factories away from large urban areas, although such efforts have had mixed results on the overall level of pollution in China.⁷⁵ In addition, China has become a major global producer and user of clean and renewable energy technology. In January 2017, the Chinese government said it would spend \$361 billion on renewable energy power generation by 2020.⁷⁶

Corruption and the Relative Lack of the Rule of Law

The relative lack of the rule of law in China has led to widespread government corruption, financial speculation, and misallocation of investment funds. In many cases, government "connections," not market forces, are the main determinant of successful firms in China. Many U.S. firms find it difficult to do business in China because rules and regulations are generally not consistent or transparent, contracts are not easily enforced, and intellectual property rights are not protected (due to the lack of an independent judicial system). The relative lack of the rule of law and widespread government corruption in China limit competition and undermine the efficient allocation of goods and services in the economy. A *New York Times* article reported that (former) Chinese Premier Wen Jiabao's family controlled assets worth at least \$2.7 billion.⁷⁷ One study estimates that between 2001 and 2010, China was the world's largest source of illicit capital outflows at \$3.8 trillion.⁷⁸ A 2012 survey by the Pew Research Center's Global Attitudes Project reported that 50% of respondents said that corrupt officials are a very big problem (up from 39% in 2008).⁷⁹ Chinese officials often identify government corruption as the greatest threat to the Chinese Communist Party and the state. The Chinese government's anticorruption watchdog reported that 106,000 officials were found guilty of corruption in 2009.⁸⁰ Since assuming power in 2012, Chinese Xi Jinping has carried out an extensive anticorruption drive. China has reportedly sought cooperation with the United States to obtain extradition of 150 alleged corrupt officials who have fled to the United States.⁸¹ However, many analysts contend that government anticorruption campaigns are mainly used to settle political scores with out-of-favor officials. Some analysts contend that President's Xi anticorruption drive is more about consolidating his own political than instituting reforms.⁸² In addition, there are some indicators that the current anticorruption campaign may be having a negative impact on the Chinese economy, due to hesitancy by some local officials to pursue projects they feel will lead to scrutiny from the central government.⁸³ Many observers argue that meaningful progress against government corruption cannot occur without greater government transparency, a system of checks and balances, a free press, Internet freedom, and an independent judiciary.⁸⁴ In October 2014, China held its fourth Plenum of the 18th Party Conference. The meeting focused on the need to enhance the rule of law in China, but emphasized the leading role of the Communist Party in the legal system.⁸⁵

China maintains a weak and relatively decentralized government structure to regulate economic activity in China. Laws and regulations often go unenforced or are ignored by local government officials. As a result, many firms cut corners in order to maximize profits. This has led to a proliferation of unsafe food and consumer products being sold in China or exported abroad. Lack of government enforcement of food safety laws led to a massive recall of melamine-tainted infant milk formula that reportedly killed at least four children and sickened 53,000 others in 2008. Transparency International's Corruption Perception Index for 2016 ranked China 79th out of 176 countries and territories, up from 72nd in 2007.⁸⁶

Demographic Challenges

Many economists contend that China's demographic policies, particularly its one-child policy (first implemented in 1979), are beginning to have a significant impact on the Chinese economy. For example, according to a McKinsey Global Institute study, China's fertility rate fell from about 5.8 births per woman in 1964 to 1.6 in 2012.⁸⁷ This is now affecting the size of the Chinese workforce.

The existence of a large and underemployed labor force was a significant factor in China's rapid economic growth when economic reforms were first introduced. Such a large labor force meant that firms in China had access to a nearly endless supply of low-cost labor, which helped enable many firms to become more profitable, which in turn led them to boost investment and production. Some economists contend that China is beginning to lose this labor advantage. According to the Chinese government, the size of its working-age population (ages 16 to 59) peaked at 925 million in 2011, but then fell for seven consecutive years to 897 million in 2018. The Chinese government projects that its working age population will drop to 830 million by 2030 and to 700 million by 2050. If these projections prove accurate, the Chinese working age population could drop by 225 million individuals (2011-2050).⁸⁸

The one-child policy has also resulted in a rapidly aging society in China.⁸⁹ According to the Brookings Institute, China already has 180 million people aged over 60, and this could reach 240 million by 2020 and 360 million by 2030. The population share of people aged over 60 could reach 20% by 2020, and 27% by 2030.⁹⁰ With a declining working population and a rising elderly population, the Chinese government will face challenges trying to boost worker productivity (such as enhancing innovation and high-end technology development) and expanding spending on health care and elderly services. China's Hukou (household registration) system also poses challenges to the government.

China's Hukou System⁹¹

First introduced in 1951, the Chinese Hukou (household registration) system is a categorization of its citizens based on both their place of residence and eligibility for certain socioeconomic benefits. Hukou is issued through a registration process administered by local authorities and solidified into inheritable social identities.⁹² The classification of the system is composed by two related parts: socioeconomic eligibility (agriculture/nonagriculture); and residential location (living in urban/rural areas). The Chinese government imposed the system with the purpose of regulating population distribution, especially in regard to cities. Since economic reforms were begun in 1979, hundreds of millions of people have been allowed to leave their home towns to work in urban areas, such as Shanghai. The number of rural laborers working in China's cities was 274 million in 2014, over one-third (36%) of the total workforce.⁹³ Although such workers are allowed to reside in the cities where they work, they are generally denied access to social entitlements, such as pensions, medical insurance, and basic education for children. This forces such workers to save a very high level of their income to pay for these services. Due to China's desire to increase the urbanization of its population, combat demographic disparities, and boost domestic consumption, the Chinese government is currently considering implementing new reforms to the Hukou system.

18. What do you mean by war economy? How can you explain Japan's economy as an example of war economy? Analyze the contribution of war economy in the development process of Japan.

Answer: A war economy or wartime economy is the set of contingencies undertaken by a modern state to mobilize its economy for war production. Philippe Le Billon describes a war economy as a "system of producing, mobilizing and allocating resources to sustain the violence." Some measures taken include the increasing of Taylor rates as well as the introduction of resource allocation programs. Approaches to the reconfiguration of the economy differ from country to country.

Japan's per capita GDP in 1945, the year of its surrender in World War II, was \$1,346 in 1990 US dollars—a mere 11% of the US figure for the same year a just 47% of the per capita income Japan itself achieved in 1940, the year before its entry into World War II. In the second half of the nineteenth century, Japan adopted a sweeping policy of modernization in pursuit of parity with the industrial West, under the slogan *fukoku kyōhei*: "enrich the country, strengthen the military." Growth in Japan's per capita GDP between 1870 and 1940 reflects the economic success of this campaign, which continued through the prewar era. As the graph indicates, Japan was steadily catching up with Britain and the United States, two of the world's most advanced industrial economies. Japan's per capita GDP grew from 23% of Britain's and 30% of America's in 1870 to 42% of Britain's and 41% of America's on the eve of the Pacific War.

World War II abruptly reversed this progress. Indeed, in terms of per capita GDP, the war sent the modern Japanese economy back to square one, erasing virtually all the gains it had made since the end of the nineteenth century. The next chapter in the story is well known. The devastated Japanese economy rose quickly from the ashes of World War II. By 1956, real per capita GDP had overtaken the prewar 1940 level. During the recovery period (1945–56), per capita GDP rose at an average annual rate of 7.1%. Recovery was followed by the era of rapid growth era. As the graph reveals, Japan began closing in on the West once again, and at a speed far exceeding its prewar progress.

In 1973, Japan's per capita GDP was 95% that of Britain and 69% that of the United States. That was the last year of the so-called rapid-growth era, but the Japanese economy continued to expand at a comparatively brisk rate for almost two more decades. By 1991—the last year of the "bubble economy"—Japan's per capita GDP was 120% that of Britain and 85% that of the United States. Despite the setback of World War II, the process of catching up with the West, begun a little more than a century earlier, was basically complete.

Japan's postwar economy had great inherent potential for growth from the outset. Its dynamic potential derived from two basic factors: (1) the gap between Japanese technology and the world's frontier technologies and (2) a large agricultural sector with relatively low productivity. Systemic changes instituted during the war helped the economy tap into this potential, achieve the rapid growth charted in the graph, and ultimately catch up with the industrial West.

It follows, however, that Japan would find it difficult to maintain the same pattern of rapid growth once this potential was exhausted. By 1990, both sources of dynamism had dried up: The catch-up process was virtually complete, as we have seen, and the portion of the labor force employed in the agriculture sector had dropped to 6.5% from the 1955 level of 36%.

First, as many others have pointed out, if the Japanese economy already stands on the frontier of global technology, then further growth will depend on its own ability to expand those frontiers.

The 1956 White Paper on the Economy famously announced that the postwar recovery period was over. It warned that the economy had exhausted the growth potential of reconstruction and impressed on the nation the need for a new growth paradigm. "We are about to find ourselves face to face with a very different situation," it warned. "The days of economic growth via recovery are over. Henceforth, growth will be sustained by modernization."

More than a half century later, Japan stands at a different stage of development, yet it faces a similar challenge—that of creating a new paradigm for economic growth. This is the problem it has confronted since the 1990s, and it continues to struggle with it. I believe that to surmount this hurdle, we must develop new institutional mechanisms conducive to the massive allocation of resources for technological research and development. The essential lesson to be learned from the "Japanese miracle" is that well-designed systems and institutions have an important role to play in promoting the efficient allocation of resources and stimulating new growth.

20. What are the provisions of Agricultural land reform bill in Japan? Describe Agricultural land reform regulations including war time for Japan.

Answer: After the devastation caused by the war with China, Japan faced starvation. Import had been stopped and domestic agricultural production was critically exhausted. The government had to overcome severe food shortage in the country. Under the situation, drastic land reform was executed from 1946 to 1950 under strong guidance of the SCAP. Just after the war, Japan Ministry of Agriculture independently designed an outline of the reform, when the Occupation Forces had not yet taken any clear stance on the reform. This outline was approved by the Cabinet (22nd Nov. 1945), and the (first) Land Reform Bill²¹ was prepared as a revision of the Farmland Adjustment Law of 1938. The bill contained three main provisions, which are; 1) compulsory transfer of all land owned by absentee landlords and all tenanted land of other land owners, whose individual holding exceeded 5 hectares; 2) replacement of traditional land rent in kind to equivalent cash rent, calculated on the basis of landlord's rice price. This implied substantial reduction of the rent level, since the landlord's price was considerably lower than the producers price; and 3) reorganization of the Farmland Committees.

(1) Compulsory purchase of land: All farmland owned by absentee landlords was to be subject to the compulsory purchase by the government. The term "absentee landlord" was more rigorously defined. Any landowner, who did not reside in the same village of the leased out land, was regarded as absentees. Therefore, farming landlords' leased out land, extended into neighboring villages, was regarded as the land owned by absentees. All tenanted land of village landlords in excess of 1 hectare (4 hectares in Hokkaido prefecture) was also subject to the compulsory purchase. Owner cultivated land in excess of 3 hectares (12 hectares in Hokkaido) was to be purchased, if their cultivation was judged to be inefficient in terms of land productivity. These limits were to be applied per household basis.

(2) The purchase condition: (a) The purchase price The purchase price was the same as that in the first Land Reform Law, which was calculated by multiplying the rental value by a fixed factor.

The rental value was an officially determined figure used for taxation purposes, which was about 20 yen/tan for paddy land and 10 yen/tan for upland, which was settled in 1938. The fixed factor was calculated as the ratio of the land value to a capitalized land rent, imputed from typical owner farmers operation at 1945 price level. Thus the factor was determined to be 40 for paddy land and 48 for upland. The purchase price was to be about 760 yen/tan and 450 yen/tan, respectively in paddy land and upland. The additional bonus payment was made to the landowners for first 3 hectares (12 hectares in Hokkaido), which was 220 yen/tan for paddy land and 130 yen/tan for upland. These purchase prices were extremely low when the purchase was done due to the rapid inflation of postwar disarray.

(b) The payment condition: The payment to landlords was to be made in National Bonds bearing an interest of 3.6 percent and redeemable within 30 years. The purchase price of tenants was the same as the landlords selling price. Payments could be made in cash or in annual installments within 30 years at 3.2 percent of interest.

(3) The Land Committees: The Land Committees were set up at three levels, Village (or Town), Prefecture and Central Land Committees. Ten members of a Village Land Committee were elected separately by three different groups, 5 from tenants, 3 from landlords and 2 from owner farmers. Purchase plan was to be drawn by Village Land Committees with the approval of the Prefecture Land Committee and purchased directly by the government. The date of the 23rd of November 1945 was taken as the base of the purchase plan, when the first land reform plan was press released.

***Describe Agricultural land reform regulations including war time for Japan.**

Answer: On the progress of the war in China, various economic regulations was introduced and gradually strengthened under growing totalitarianism. The economic basis of the landlord was gradually undermined and their political and economic superiority was declined. Since the end of the 1930s, domestic food market has gradually tightened. Both food import and domestic production gradually declined, owing to the shortage of raw materials and labor force for agricultural production. On the progress of the war, situation aggravated. The country continuously imported rice from Korea and Taiwan. However, when a severe drought hit Korea and western Japan in 1939, the import from Korea was stooped, which was the beginning of serious food shortage over a decade. The primary policy target was to promote agricultural production so as to secure the food self-sufficiency. In order to encourage the food production, especially of rice, the government successively adopted various regulations on agriculture under the increasing totalitarian control of domestic affairs. The National Mobilization Law was enacted in 1938, which enabled the government to mobilize physical and human resources for the implementation of war by orders.

Land policies: The land tenancy system was not an exception on regulations. It was a good chance for the reformist group in the MAC to seek agrarian reform under the slogan of enhanced food production. The Farmland Adjustment Law was enacted in 1938, as the first step of the regulation, which allowed the local governments and village authorities to take the initiative in establishing owner farmers by suggesting to landlords to sell their land. Compulsory purchase was also allowed by the local authorities, if the land is uncultivated. The tenancy title was recognized as a property

right, which was to be remained intact even after the change of ownership of the land. The landlords' rights to evict the tenants or to terminate the tenancy contract were slightly restricted. A provision of the Land Tenancy Conciliation Law of 1924 was enhanced such that the tenancy officers were allowed to submit the disputes to the court for compulsory mediation. The Farmland Committee was set up in each village and prefecture as a coordinating body of various lands related issues (Ouchi 1960, p.270; NKTG, pp.92-3; Dore 1959, pp.109-10). Although this law was not far sufficient to secure the tenants' interests, it was a slight advance in the coming land reform. In 1939 the Land Rent Control Order was issued under the National Mobilization Law. This order was one of the anti-inflationary measures taken in the same year, which 25 covered a wide range of commodity prices. The Rent Control Order imposed a freeze on rents at their 1939 level. The order also allowed local governments to order rent reduction when necessary. In fact, until 1943, rental rates of the land of about 330,000 hectares were reduced by the orders of local authorities under this ordinance (Ouchi 1960, p.271). As the second step, land prices were also frozen by the Land Price Control Order issued in 1941. The order imposed fixed prices on farmland at 1939 level, calculated based on the rent value (the basis of land tax assessment) multiplied by a locally determined fixed rate. 19 The land ownership was further restricted by successive regulations. The Land Control Order was issued in the same year, in which conversion or trade of farmland for non-agricultural purposes was stipulated to be subject to the approval of local authorities. The government or local authorities were allowed to order the crop to be planted in order to secure maximum production of the most important crops. Although these regulations were imposed to sustain the farm production, they functioned as de facto tenancy law, which strengthened the tenants' status, while restricting the landlords' interests.

22. What do you mean by Translative Adaption? Explain the success story of Japan regarding translative adaption.

Answer: In any country, history proceeds as an interaction of domestic and foreign forces. Development under the strong pressure of globalization can be interpreted as the process of domestic actors (individuals, communities, firms, government...) responding to shocks and influences coming from abroad. From outside, it may look as if the weak country (say, Vietnam) is being engulfed in the dominant world system, forced to abandon its traditional values, culture, social structure and so on, in order to embrace "international best practice." In the early twenty-first century, global standards powerfully promoted by the center country include (American-style) democracy and markets.

Each society has unique characteristics, and existing institutions are mutually dependent and form a coherent whole ("institutional complementarity"). The domestic society has its internal evolution, but when exposed to strong foreign impact, social equilibrium is disturbed and the society begins to change. If the response is resilient and appropriate, the society will begin to grow dynamically. But if the response is weak or inconsistent, the society will be destabilized or even destroyed under foreign dominance. Some countries open up too quickly without preparation, only to face collapsing output or financial turmoil. Others refuse to integrate and revert to state control, degenerating into complete isolation and stagnation. Risks of mishandled integration are great.

Confused systemic transition and frequent currency crises are the examples of globalization failure.

According to Keiji Maegawa, an economic anthropologist, successful integration must be proactive. The domestic society is the base, into which new foreign systems are introduced. In a proper integration process, Maegawa asserts that the developing country should decide its own terms of integration, retaining autonomy, social continuity and national identity. The society changes, but the changes are managed by its government and people (not foreign advisors or multinational firms). Foreign ideas are introduced not in the original form, but with modifications to fit the local needs. If this happens, the transformed country is not really so passive or weak. It is taking advantage of external stimuli. This type of integration, with the society in full control, is called "translative adaptation." Maegawa says that Japan since the Meiji period (1868 onward) did just that. But today, for many developing countries with immature economy and unstable politics, translative adaptation is very difficult to implement. There is no easy formula to solve this dilemma.

Japan faced great challenges when it opened up to the Western World Modernization for Latecomers 7 in the middle of the 19th century. It also experienced similar hardship after the war defeat of 1945. In both cases, Japan eventually emerged as a brilliantly successful latecomer, at least economically. Traditionally, we consider Japan in the 19th century as a weak, agricultural, backward country with low technology suddenly exposed to influences from the powerful West. Japan struggled to industrialize and somehow succeeded. But why did only Japan succeed so early, among all non-Western countries? This is the biggest question for whoever studies Japan's modern history. However, Dr. Tadao Umesao, a distinguished scholar in comparative civilization, says that there is no mystery here. According to him, Japan emerged as a non-Western industrial country very naturally. Until 1993, Dr. Umesao was the director general of the National Museum of Ethnology in Osaka, which he founded in 1974. In his earlier days, he traveled extensively in Mongolia, Afghanistan, Southeast Asia, Africa and Europe undertaking anthropological fieldwork. In 1957, he proposed a new theory on Japanese history and national identity. Dr. Umesao says that the traditional view of Japan as a backward country is wrong. He argues that Japan and Western Europe are two very unique societies in the world. Both are located on the periphery of the huge Eurasian Continent. Both enjoy a temperate climate. More importantly, they are relatively insulated from violent invasions by nomadic peoples residing in the central dry areas of the Eurasian Continent. He argues that these geographic and climatic advantages are crucial for the spontaneous and continuous development of society. Japan and the United Kingdom are particularly similar in that they are island nations just off the continent. Japan and Western Europe were an appropriate distance (not too far, not too close) from the great civilizations of Eurasia—namely, China, India, and the Middle East (Islam). They could absorb the cultural achievements of these civilizations while being invaded and destroyed much less often than societies located in the middle of the continent. This permitted both societies to evolve cumulatively and organically. They mixed domestic culture and foreign impact properly, without being wiped out and having to start over again from scratch. Under these similar historical conditions, Japan and Western Europe developed independently and in parallel—from centralized imperialism to power decentralization, establishing feudalism, then absolutism, and finally capitalism. It is no accident that the Industrial

Revolution originated in the United Kingdom, and that the only non-Western country to industrialize as thoroughly as the West was Japan. In no other areas did history evolve so sequentially. According to Umesao, Japan got behind the United Kingdom because it adopted the bizarre policy of external isolation from 1639 to 1854 (chapter 2). Without this deviation, Umesao asserts, the two nations would have achieved the Industrial Revolution at about the same time.

23. What are the factors that discovered Japan as Golden Sixties after the second world war?

Answer: Golden sixties, the shift to export trade: The period of rapid economic growth between 1955 and 1961 paved the way for the Golden Sixties, the second decade that is generally associated with the Japanese economic miracle. In 1965, Japan's nominal GDP was estimated at just over \$91 billion. Fifteen years later, in 1980, the nominal GDP had soared to a record \$1.065 trillion. Under the leadership of Prime Minister Ikeda, former minister of MITI, the Japanese government undertook an ambitious "income-doubling plan" (所得倍増計画). Ikeda lowered interest rates and taxes to private players to motivate spending. In addition, due to the financial flexibility afforded by the FILP, Ikeda's government rapidly expanded government investment in Japan's infrastructure: building highways, high-speed railways, subways, airports, port facilities, and dams. Ikeda's government also expanded government investment in the previously neglected communications sector of the Japanese economy. Each of these acts continued the Japanese trend towards a managed economy that epitomized the mixed economic model. **Vast consumption:** from survival to recreation **Vast export:** Golden Sixties and shift to export trade Besides Ikeda's adherence to government intervention and regulation of the economy, his government pushed trade liberalization. By April 1960, trade imports had been 41 percent liberalized (compared to 22 percent in 1956). Ikeda planned to liberalize trade to 80 percent within three years. His plans however met severe opposition from both industries who had thrived on over-loaning and the nationalist public who feared foreign enterprise takeovers. The Japanese press likened liberalization to "the second coming of the black ships," "the defenselessness of the Japanese islands in the face of attack from huge foreign capitalist powers," and "the readying of the Japanese economy for a bloodstained battle between national capital and foreign capital." Ikeda's income-doubling plan was largely a response to this growing opposition and widespread panic over liberalization, adopted to quell public protests. Ikeda's motivations were purely pragmatic and foreign policy based, however. He moved toward liberalization of trade only after securing a protected market through internal regulations that favored Japanese products and firms. Ikeda also set up numerous allied foreign aid distribution agencies to demonstrate Japan's willingness to participate in the international order and to promote exports. The creation of these agencies not only acted as a small concession to international organizations, but also dissipated some public fears about liberalization of trade. Ikeda furthered Japan's global economic integration by joining the GATT in 1955, the IMF, and the OECD in 1964. By the time Ikeda left office, the GNP was growing at a phenomenal rate of 13.9 percent. In 1962, Kaname Akamatsu published his famous article introducing the Flying Geese Paradigm. It postulated that Asian nations will catch up with the West as a part of a regional hierarchy where the production of commodity goods would continuously move from the more advanced countries to the less advanced ones. The paradigm

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was named this way due to Akamatsu's envisioning this pattern as geese flying in unison with Japan being an obvious leader.

24. Analyze the state of Cuba before Cuban revolution.

Answer: Cuba During the Pre-revolutionary Era Just six years before Fidel Castro and one thousand "Fidelistas" took control in 1959, Cuba's Gini coefficient* was slightly above .57. Only four years after the revolution, private capital had disappeared, and the Gini coefficient, now almost entirely dependent on wage income, had dropped to a bit above .28.6 Growth before 1959 was largely dependent on tourism and a single export—sugar—but was plagued by graft, corruption and inefficiency. Post-1959, Cuba became a highly centralized, Soviet-style planned economy that provided increasing health and education standards for its population. Yet, despite the huge differences pre- and post-1959, the interesting common feature of the economy during the entire twentieth century, save for the last 10 years, is that it was heavily dependent—in pre-revolutionary days on foreign political and economic interests and during the post-revolution era on Soviet beneficence. With an economy that had, for centuries, subsisted on cheap (often slave) labor to work its sugar plantations, Cuba was historically not poised to deliver many benefits to average citizens. Per capita income in 1958 was \$353—one of the highest in Latin America—but an average Cuban rural worker earned only \$91 annually. In the same year, 75 percent of arable land was foreign-owned. The majority of these foreign interests were based in the United States and protected by an extremely interventionist U.S. foreign policy. Following the Spanish American War of 1899, the United States occupied Cuba, and when it departed in 1901, it left behind the Platt Amendment, an addendum to Cuba's Constitution that gave the United States the right to intervene in Cuba's internal affairs. The United States used this right several times, most notably to help Fulgencio Batista overthrow Gerardo Machado in 1933; in 1959, Fidel Castro's revolution overthrew Batista's second regime. U.S. investment in Cuba was largely responsible for the pre-revolutionary economy's singular focus on sugar, and, as a consequence, its nearly complete reliance on the United States. Around 1900, the stock of U.S. investments in Cuba stood at about \$100 million, much of it—\$45 million—in tobacco, with only \$25 million in sugar. By 1927, U.S. sugar interests had increased to \$600 million. Most of the sugar production prior to World War I was owned by Spaniards or by Cubans (in 1906 the U.S. share was only 15 percent), but at its peak in the late 1920s, the U.S. share was 66 percent. After the Great Depression of the thirties drove down its price, U.S. investments in sugar stagnated and sugar's output share fell to 55 percent in 1939 and 47 percent in 1950. Nonetheless, on the eve of the revolution, over 40 percent of sugar production was U.S.-owned,⁷ and U.S. investors had significant interests in public utilities and communications, banking, mining, petroleum, and small manufacturing. This pronounced monocultural pattern in agriculture naturally had serious consequences for Cuba's development. Outside of the sugar sector, the country was hardly more developed in 1930 than it was in 1900. Sugar processing constituted 84 percent of manufacturing output in 1925. Only 26,000 workers, fewer than 3 percent of the 1.1 million-person labor force, worked in non-sugar manufacturing. The sugar industry encouraged massive in-migration (an estimated 700,000 people between 1899 and 1931, the majority from Spain), so that even as sugar enhanced the national product, real per

capita income was lower in 1928 than in 1900. In the ensuing three decades, real per capita production fluctuated but, on average, remained largely constant. After the Great Depression of the 1930s drove down the price of sugar (halting additional U.S. investment), sugar manufacturers progressively squeezed workers to reduce costs. In the 1920s, the average length of the harvesting season was 210 days; in the 1930s this was reduced to an average of 104 days, and to 95 days post-World War II. During the rest of the year, idled sugar workers were hard-pressed to find other sources of income. Estimates by Mesa-Lago (1968) for 1956-1957 put the number of workers employed in sugar, and therefore working for only one-third of the year, at 20 to 25 percent of the total labor force. In addition, he estimates that 16.4 percent of the labor force was unemployed and another 13.8 percent underemployed.¹⁰ Pre-revolutionary Cuba was clearly a country of high income inequality, indicated clearly by a Gini coefficient of .57 in 1959. While we do not have very good poverty figures for this period, estimates are that the average daily nutritional intake was deficient by 1,000 calories; 89 percent of the population did not drink milk, 96 percent did not eat meat, and 98 percent did not eat eggs. As for "public goods poverty" prior to 1959, no secondary schools existed in rural areas,¹¹ and 40 percent of rural workers had never gone to school. With respect to health, the infant mortality rate was 80.6 per 1,000 live births in 1955, while life expectancy for males was 60.8 years and 64.2 for females.

26. What do you mean by special period in time of peace? How could revolution play role in an economy? Give your answer regarding Cuba.

Answer: The Cuban gross domestic product declined at least 35% between 1989 and 1993 due to the loss of 80% of its trading partners and Soviet subsidies. [43] This loss of subsidies coincided with a collapse in world sugar prices. Sugar had done well from 1985-90 and crashed precipitously in 1990-91 and did not recover for five years. Cuba had been insulated from world sugar prices by Soviet price guarantees. However, the Cuban economy began to improve once again following a rapid improvement in trade and diplomatic relations between Cuba and Venezuela following the election of Hugo Chávez in Venezuela in 1998, who became Cuba's most important trading partner and diplomatically.

The era was referred to as the "Special Period in Peacetime" later shortened to "Special Period".

The famine of Cuba during the special period was caused by political and economic factors similar to the ones that caused a famine in North Korea in the mid-1990s, on the grounds that both countries were run by authoritarian regimes that denied ordinary people the food to which they were entitled to when the public food distribution collapsed and priority was given to the elite classes and the military. [44] Other reports painted an equally dismal picture, describing Cubans having to resort to eating anything they could find, from Havana Zoo animals to domestic cats. [45] But although the collapse of centrally planned economies in the Soviet Union and other countries of the Eastern bloc subjected Cuba to severe economic difficulties, which led to a drop in calories per day from 3052 in 1989 to 2600 in 2006, mortality rates were not strongly affected thanks to the priority given on maintaining a social safety net. The government undertook several reforms to stem excess liquidity, increase labor incentives and alleviate serious shortages of food,

consumer goods and services. To alleviate the economic crisis, the government introduced a few market-oriented reforms including opening to tourism, allowing foreign investment, legalizing the U.S. dollar and authorizing self-employment for some 150 occupations. (This policy was later partially reversed, so that while the U.S. dollar is no longer accepted in businesses, it remains legal for Cubans to hold the currency.) These measures resulted in modest economic growth. The liberalized agricultural markets introduced in October 1994, at which state and private farmers sell above-quota production at free market prices, broadened legal consumption alternatives and reduced black market prices. Government efforts to lower subsidies to unprofitable enterprises and to shrink the money supply caused the semi-official exchange rate for the Cuban peso to move from a peak of 120 to the dollar in the summer of 1994 to 21 to the dollar by year-end 1999. The drop in GDP apparently halted in 1994, when Cuba reported 0.7% growth, followed by increases of 2.5% in 1995 and 7.8% in 1996. Growth slowed again in 1997 and 1998 to 2.5% and 1.2% respectively. One of the key reasons given was the failure to notice that sugar production had become uneconomic. Reflecting on the Special period Cuban president Fidel Castro later admitted that many mistakes had been made, "The country had many economists and it is not my intention to criticize them, but I would like to ask why we hadn't discovered earlier that maintaining our levels of sugar production would be impossible.

27. Briefly explain the standard of health system in Cuba which is recognized as an important fact of this economy.

Answer: The Cuban government operates a national health system and assumes fiscal and administrative responsibility for the health care of all its citizens. [1] There are no private hospitals or clinics as all health services are government-run. The present Minister for Public Health is Roberto Morales Ojeda. [2] Like the rest of the Cuban economy, Cuban medical care suffered following the end of Soviet subsidies in 1991 and the stepping up of the United States embargo against Cuba at this time also had an effect. [3] Cuba has historically – both before and during Communist rule – performed better than other countries in the region on infant mortality and life expectancy. [4] Some experts say that official statistics provided by the Castro regime should be treated skeptically. Modern Western medicine has been practiced in Cuba by formally trained doctors since at least the beginning of the 19th century and the first surgical clinic was established in 1823. [6] Cuba has had many world class doctors, including Carlos Finlay, whose mosquito-based theory of yellow fever transmission was given its Contents History final proof under the direction of Walter Reed, James Carroll, and Aristides Agramonte. [7] During the period of U.S. presence (1898–1902) yellow fever was essentially eliminated due to the efforts of Clara Maass and surgeon Jesse William Lazear. In the 1950s the number of doctors per thousand of the population ranked above Britain, France and the Netherlands. In Latin America it ranked in third place after Uruguay and Argentina. [9] There remained marked inequalities, however. Most of Cuba's doctors were based in the relatively prosperous cities and regional towns, and conditions in rural areas, notably Oriente, were significantly worse. The mortality rate was the third lowest in the world. According to the World Health Organization, the island had the lowest infant mortality rate of Latin America. Following the Revolution and the subsequent United States

embargo against Cuba, an increase in disease and infant mortality worsened in the 1960s. The new Cuban government asserted that universal healthcare was to become a priority of state planning. In 1960 revolutionary and physician Che Guevara outlined his aims for the future of Cuban healthcare in an essay entitled *On Revolutionary Medicine*, stating: "The work that today is entrusted to the Ministry of Health and similar organizations is to provide public health services for the greatest possible number of persons, institute a program of preventive medicine, and orient the public to the performance of hygienic practices." [13] These aims were hampered almost immediately by an exodus of almost half of Cuba's physicians to the United States, leaving the country with only 3,000 doctors and 16 professors in the University of Havana's medical college. Beginning in 1960, the Ministry of Public Health began a program of nationalization and regionalization of medical services. In 1965, Cuba became the first Latin American country to legalize abortion. In 1976, Cuba's healthcare program was enshrined in Article 50 of the revised Cuban constitution which states "Everybody has the right to health protection and care. The State guarantees this right:

- by providing free medical and hospital care by means of the installations of the rural medical service network, polyclinics, hospitals and preventive and specialist treatment centers;
- by providing free dental care;
- by promoting the health publicity campaigns, health education, regular medical examinations, general vaccinations and other measures to prevent the outbreak of disease.

All of the population cooperates in these activities and plans through the social and mass organizations." [16] Privatization of healthcare in Cuba is illegal and unnecessary as high quality, equal, care covered by the state is available to everyone as made necessary by Cuba's constitution.

At present, Cuba's national health system is made up of multiple tiers: 1) the community containing individuals and families, 2) family doctor-and-nurse teams, 3) basic work teams, 4) community polyclinics, 5) hospitals, and 6) medical institutes. [36] Cuba's Family Physician and Nurse program is made up of physician and nurse teams that serve individuals, families, and their communities. They live above their government-built family medicine offices, living directly in the communities they serve and available 24 hours a day. [36] These teams work to improve the public health concerns in the environment as well as provide medical care. They perform a neighborhood health diagnosis biannually where community risk factors are evaluated to focus priorities for improving the health of the community. [36] Clinically, family doctor-and-nurse teams follow the Continuous Assessment and Risk Evaluation (CARE) method which monitors individual and family health by examining community and home environments, current health, and medical history. The teams make home visits to each family at least once. Present National health system yearly to assess and evaluate their health. Individuals with chronic illness are seen at least every three months. [36] These teams' role combined the importance of focusing on both public health and clinical medicine. [37] Polyclinics are community-based clinics that house primary care specialists. They exist in every Cuban community and are well-acquainted with the people and the communities they serve. They can see the social determinants and environment that affect the community's health, bettering their ability to serve their patients. [36] Specialists at the

polyclinic are there to support physicians when they are needed. Each clinic of specialists supports 20-40 doctor-and-nurse teams. Basic work teams within the polyclinics supervise and evaluate the neighborhood and clinical health work of the family medicine offices. [36] While preventive medical care, diagnostic tests and medication for hospitalized patients are free, some aspects of healthcare are paid for by the patient. Items which are paid by patients who can afford it are: drugs prescribed on an outpatient basis, hearing, dental, and orthopedic processes, wheelchairs and crutches. When a patient can obtain these items at state stores, prices tend to be low as these items are subsidized by the state. For patients on a low-income, these items are free of charge. [38] Like the rest of the Cuban economy, numerous reports have shown that Cuban medical care has long suffered from severe material shortages caused by the US embargo. The ending of Soviet subsidies in the early 1990s has also affected it.

28. Define East Asian miracle. Describe the development experience of example of East Asian miracle.

Answer: Many East and South East Asian economies have progressed from low income to middle income status in the last 50 years, prompting the World Bank to coin the term "East Asian Miracle" to describe their achievements in overcoming the development challenges developing countries typically face. Eight countries in East Asia—Japan, South Korea, Taiwan, Hong Kong, Singapore, Thailand, Malaysia, and Indonesia—have become known as the "East Asian miracle" because of their economies' dramatic growth. In these eight countries real per capita GDP rose twice as fast as in any other regional grouping between 1965 and 1990. Even more impressive is their simultaneous significant reduction in poverty and income inequality. Country-specific development strategies as well as variations in the pace and sequencing of policies across the different countries have characterized the developments achieved by the individual countries. Nonetheless, broadly speaking, a large part of the success of East and South East Asian economies can be attributed to the "outward-oriented industrialization" model. There are two dimensions to this strategy, namely the productive structures of the economy and their integration in global trade.

In the early stages of development, these countries promoted labor-intensive, low-technology manufacturing activities such as textiles, apparel and footwear. This shifted the economic structures away from low-productivity subsistence agriculture to activities with a strong potential for productivity growth. The significance of the manufacturing sector for the economy continued to deepen over time. In 2016, Asia had a significantly higher share of manufacturing value added than other regions. Within Asia, manufacturing was more important to East and South East Asian economies compared to the rest of Asia.

When the East and South East Asian economies began developing their manufacturing sectors, they targeted the export markets fairly early on (even those countries that briefly experimented with import substitution). The countries' governments effectively addressed the realities of their national economies, namely 1) the domestic markets were limited in size in the early stages of development and industries could therefore not scale up fast enough. 2) exports would expose domestic industries to international competition while facilitating the flow of foreign investment

(FDI) and know-how. 3) exports were important for generating revenue and foreign exchange that could be used to stimulate economic and income growth.

Manufactured products soon became the principal exports of East and South East Asian economies in contrast to the tendency of developing regions' exports to rely more heavily on semi-processed commodities. Asia had the second highest share of manufactured goods in total merchandise exports, after Europe. Within Asia, East and South East were exporting far more manufactured goods relative to primary goods compared to their peers.

Having secured a foothold in labor-intensive manufacturing, the economies increasingly began expanding into skills- and technology-intensive manufacturing such as metal products, automotive and telecommunications to sustain their economic and income growth. This is visible in the composition of the countries' manufacturing value added at a given point in time and how it has evolved over time. In the case of East and South East Asia, the share of manufacturing value added derived from low-technology industries has decreased while medium- and high-technology industries, such as electrical apparatus, telecommunications, automotive, and machinery and appliances, have contributed increasingly more to their manufacturing value added.

The case of East and South East Asia demonstrates that there is a strong positive relationship between the economy's productive and trade structures. As the countries' economies began to produce increasing amounts of technology-intensive manufactured goods, they also exported more of those products. Between 1995 and 2016, the share of low-technology manufactured goods in the economies' total manufactured exports decreased. In 2016, the top export industries for East and South East Asia included a number of high technology industries such as telecommunications, chemicals, office equipment, machinery and appliances, automotive and electrical apparatus.

The East and South East Asian economies continued to consolidate their position and increase their market shares in global exports for each of these key industries. For example, in telecommunications, China's share in global exports increased rapidly from 4 per cent to 33 per cent between 1995 and 2016. During the same period, Viet Nam's share of world exports in telecommunications grew from zero to 4 per cent. Given their increased competitiveness as exporters, East and South East Asia increasingly exported more than they imported, which helped to either widen their trade surpluses or narrow their trade deficits in manufactured goods, notably in specific high-technology industries.

Researchers have tried to answer the question how East and South East Asia managed to achieve what many developing countries could not. There is no definitive answer, but there seems to be some consensus around two important factors of their development strategies.

The first has to do with continuous investments in human capital. Basic education, health and nutrition, and family planning services were not only provided because they are crucial for promoting inclusiveness, are also a means to increase labor productivity. Universal access to primary and increasingly secondary education has thereby been achieved, while diseases that affected in particular the poor in rural areas have largely been eradicated.

The second factor relates to credible and capable economic governance to ensure effective implementation of policies. East and South East Asian policymakers were generally committed to maintaining macroeconomic stability and a certain degree of fiscal discipline.

The governments' approach to economic governance was also relatively 'eclectic'. While policymakers mostly relied on markets to allocate resources, they were equally open to policy interventions and industrial policies that favored specific activities and industries during a particular stage of development. In general, the more successful countries ensured that domestic firms were not shielded from competition indefinitely, closely monitored intervention measures, and had no qualms about eliminating or modifying measures that became too costly or ineffective.

As the global economic environment changed, questions have been raised about the efficacy of the East and South East Asian model for developing countries. Slowing growth and pattern shifts in global trade, the maturing of international production sharing, as well as rapid technological change present challenges that have a significant impact on economic growth. Notwithstanding the changing world and the need to adjust the specifics of policies, it remains as relevant today as it has in the past that development policies will need to boost industrial competitiveness, build skills, promote inclusion, and enhance the effectiveness of the state.

29. What are the policies & principles that have played a role in the economy of Taiwan to be an economic miracle?

Answer: Todaro- Case study 12, page- 663 (12th edition).

30. Describe the role of capital flow, industrialization and international trade (trade policy) in the development method of South Korea. (miracle of Han river)

Answer: Todaro- Case study 13, Page- 720 (12th edition).

31. Describe the relationship among capital flow, industrialization, international trade and development according to experience of South Korea and Taiwan. Is there any difference between this two countries development experience regarding these mechanisms?

Answer: Economic development in South Korea and Taiwan has received considerable scholarly attention, as they are two of the most successful cases of economic development since the 1960s. South Korea, once one of the poorest economies in the world and devastated by the Korean War, is now the world's 12th largest economy. Taiwan has also successfully turned itself from a small island with a history of colonization into the 21st largest economy in the world.

South Korea and Taiwan have a lot of similarities. Both experienced colonization, but developed their economies very rapidly under the government-led development paradigm. Due to limited natural resources, both governments promoted exports, employing an export-oriented industrialization policy. Both economies also enjoyed high rates of domestic savings and quality human capital with high levels of education and a good work ethic. Domestic and foreign direct investment, particularly from the US and Japan, also benefited their economic development.

although Taiwan enjoyed the benefit more than South Korea. With economic development, both governments also went through the transition to democracy, which ended their authoritarian rule. However, economic development models employed in South Korea and Taiwan were somewhat different. The South Korean government monopolized credit allocation, providing preferential credit to big export-oriented corporations to promote economic development. By contrast, small and medium size enterprises that were mostly family-owned led economic development in Taiwan. As a result, democratization led to declining international competitiveness of South Korea due to increased labor costs and the number of lost workdays because of labor strikes. By contrast, the transition to democracy hardly had any impact on the Taiwan economy as it did not experience the labor-management conflict because most firms were rather small and owned by families. South Korea and Taiwan has similarities in industrialization and international trade but has a vast difference in capital flow. Similarities and difference are as below-

Transformation in Industrial Structure

Another similarity of economic development in South Korea and Taiwan is the rapid transformation of industrial structure. In both South Korea and Taiwan, the role of primary industries, particularly agriculture, in the economy decreased considerably and that of manufacturing increased as the economy developed. For example, in 1962, agriculture was the principal industry of the South Korean economy, accounting for 36 percent of GDP. At that time the manufacturing and construction industries were responsible for about 20 percent. By the mid-1990s, however, about 40 percent of GDP came from the manufacturing and construction whereas agriculture and fishing were responsible for only 9 percent of GDP. A similar type of transformation in industrial structures also occurred in Taiwan. In 1960, 28.5 percent of GDP came from agriculture, but that dropped to 3.6 percent in 1992 (Taiwan Statistical Data Book 2002). On the other hand, manufacturing was responsible for 35.2 percent of GDP in 1982, which was a significant increase from 19.1 percent in 1960.

Such rapid transformation in industrial structure occurred not only from primary industry to secondary industry but also emerged within the manufacturing sector. For example, South Korea's top exports in 1961 were the products of primary industries such as iron ore and tungsten, yet they changed to labor-intensive light industrial goods including textiles and garments in the 1970s and 1980s. By the 1990s, however, it changed to capital-intensive electronic goods and computer-related products. Similarly, in the 1960s, agricultural and processed agricultural products accounted for 67.7 percent of the total value of Taiwanese exports. Industrial products were only 32.3 percent. But, by 1990, the share of agricultural products in total exports of Taiwan declined to 4.5 percent while industrial goods accounted for more than 90 percent.

Export-Oriented Development

Since the early 1960s, exports have been the driving engine of economic development in South Korea and Taiwan as the two economies adopted export promotion as their principal development strategy. As a result, South Korea's foreign trade increased from \$377 million in 1960 to \$1.068 trillion in 2013, making it the 11th largest trading nation in the world. Taiwan's trade has also dramatically increased from \$461 million in 1960 to \$831.9 billion in 2013, which is the 17th largest in the world.

Both South Korea and Taiwan began their economic development efforts with an import substitution industrialization (ISI) strategy. However, both governments realized the limit of ISI and turned to an export oriented industrialization (EOI) approach in the early 1960s. To this end, governments in South Korea and Taiwan maintained low foreign exchange rates and offered incentives to export-oriented industries. Although ISI was still selectively employed, EOI became

the dominant component of industrialization policy. The policy commitment to EOI in South Korea and Taiwan decreased uncertainty and information costs and also created political and economic conditions favorable for long-term investment.

In the early 1960s, South Korea initiated its policy shift from ISI to an EOI development strategy based on the Park Chung-hee Administration's five-year development plan. The first development plan (1962-1966) focused on providing the groundwork for initiating the EOI policy (Heo et al. 2008) and promoting exports was the key objective of the subsequent second five-year development plan. The government pushed both export promotion and import-substitution, although import substitution was focused on supplying the materials needed for manufacturing goods for export. Due to the lack of capital and technology, the government initially focused on labor-intensive light industries for export. As the economy grew with the increase in exports, the government gradually moved its focus from light industries to heavy industry and chemical sectors.

The policy shifts to EOI had several meaningful effects on the South Korean economy. First, South Korea enjoyed a significant increase in exports, rising from 7.4 percent of GDP in 1967 to 27.2 percent in 1977, and 36.7 percent in 1987. Second, the quality of Korean products improved considerably, reaching international standards. Finally, the EOI strategy changed the ROK industrial structure by reducing primary industries such as agriculture and mining while significantly increasing manufacturing.

Turning to Taiwan's case, in the late 1950s, the Taiwanese government initiated a set of reforms to redirect the economy toward export-led growth. When faced with the choice between moving on to another stage of import substitution or promoting economic growth through the export of manufacturing goods, the government made the decision to shift to EOI. As US aid was expected to end in 1965 and Taiwan needed foreign currencies, economic policymakers decided to pursue EOI. To facilitate export growth, the Taiwanese government unified its exchange rate policy and devalued the Taiwan dollar. Moreover, inflation was kept in check and export-processing zones (EPZ) were established in the hope that they would attract foreign direct investment and skills through which the economy could nurture its own industries (Crook 2010). Export promotion continued and Taiwan's exports changed from labor-intensive products to skill-intensive ones since the 1970s.

Capital Financing: Foreign Loans vs. Domestic Capital

South Korea and Taiwan employed different strategies in financing. Largely, South Korea relied heavily on international loans whereas Taiwan utilized domestic capital from their stock market along with domestic savings. South Korea considered foreign direct or portfolio investment a potential threat to national sovereignty. Thus, the South Korean government used foreign loans, which made it easier for the government to control credit allocation for export-oriented industries as well. In the 1990s, foreign loans increased sharply as the government liberalized its financial sector to join the OECD. Since the government maintained high interest rates to attract domestic savings, the banking sector tried to profit from the difference in interest rates, which became one of the causes of the 1997 financial crisis in South Korea.

By contrast, Taiwanese firms avoided foreign loans. Instead, they drew funds from the stock market. Taiwanese banks were very conservative in their lending practice while the capital market was dynamic. Thus, it was easier for Taiwanese firms to raise investment capital through issuing stocks than taking on bank loans. Moreover, foreign assets of Taiwanese firms

have always surpassed their external liabilities. Thus unlike South Korea, Taiwan's domestic capital has financed its economic growth.

32. "South Korea is a global shining star of growth and resilience"- explain this line in the context of economic transition of South Korea.

Answer: Todaro- Page- 720.

33. Define welfare state. Describe the Esping-Andersen's welfare state classification with example. What are the objectives of a welfare state? (2nd and 3rd part not found)

Answer: A welfare state is a state that is committed to providing basic economic security for its citizens by protecting them from market risks associated with old age, unemployment, accidents, and sickness. The term 'welfare state' first emerged in the UK during World War II. It has since been used much more broadly to describe systems of social welfare that have developed since the nineteenth century.

34. Explain the causes of rise, fall and revival of the Swedish welfare state.

Answer: Social welfare in Sweden is made up of several organizations and systems dealing with welfare. It is mostly funded by taxes, and executed by the public sector on all levels of government as well as private organizations. It can be separated into three parts falling under three different ministries. Social welfare is the responsibility of the Ministry of Health and Social Affairs. Education is the responsibility of the Ministry of Education and Research. The labor market is the responsibility of the Ministry of Employment.

The modern Swedish welfare system was preceded by the poor relief organized by the Church of Sweden. This was formalized in the Beggar Law of 1642 and became mandatory in the Civil Code of 1734, when each parish was required to have an almshouse.

This system was changed with the Poor Law of 1847, when the first national poor care system separate from the church was organized: a mandatory public poor care relief fund financed by the public was established in each parish (after 1862 municipality), managed by a public Board of directors for poor relief, and the church was no longer directly involved (though the parish vicar were always to be given a place in the board), transforming the poor care from the church to the state.^[4] In the reformed Poor Law of 1871, however, the criteria of whom was eligible to receive benefits was severely restricted to include only orphans, the aged and the invalids, and in parallel, the system was complemented by old customs such as *rotegång*, Child auction, *fattigauction* and by private charity (foremost the local *Fruentimmers-skyddsförening*). This system was in place until 1918.

During the 19th century private sick benefit societies were started, and in 1891 these became regulated and subsidized. The Liberal Party government passed the National Pension Act in 1913 to provide security for the aged^[7] and in 1934 the private unemployment societies were regulated and subsidized in a way similar to the sick benefit societies.

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The Poor Care law of 1918 replaced the law of 1871, transformed the old fashion poor care law to a more humane modern social welfare system and abolished a number of old outdated customs, such as *rotegång*, Child auction and *fattigauction*, and transformed the old poor houses to retirement homes. The final transformation of the old poor care system to a modern social welfare system was the Social Help Law of 1956.

In 1961 the private sick benefit societies were replaced with county-level public insurance societies who also handled pensions. The independent and mostly union-run unemployment benefit societies has been more centrally regulated and levels are now regulated by the government.

35. Describe the method of Sweden being as a successful welfare state. /Why Sweden is considered as a welfare state?

Answer: The Ministry of Health and Social Affairs is responsible for welfare. This is defined as financial security in the case of illness, old age and for the family; social services; health care; promotion of health and children's rights; individual help for persons with disabilities and coordination of the national disability policies.

Health care

Sweden's entire population has equal access to the public health care services. The Swedish health care system is publicly funded and run by the county councils. The health care system in Sweden is financed primarily through taxes levied by county councils and municipalities. The health care providers of the public system are generally owned by the county councils, although the managing of the hospitals is often done by private companies after a public tender. During the last decade several county councils have started using a Fee-for-service system for primary health care under the name "VårdVal".

Dental care is not quite as subsidized as other health care, and the dentists decide on their own treatment prices.

Elderly care

☞ This section **needs expansion**. You can help by adding to it. (May 2011)

Elderly care in Sweden is the responsibility of the local municipalities. There are both retirement homes as well as home care, with home care on the rise.

Social security

The Swedish social security is mainly handled by the Swedish Social Insurance Agency and encompasses many separate benefits. The major ones are:

- "Barnbidrag": Monetary support for children up to 16 (support also available for older students)
- "Föräldrapenning": Benefits to be able to be home from work to take care of their children for up to 480 days per child. It also includes special benefits to care about sick and disabled children.
- "Bostadsbidrag": Housing allowances for anyone who otherwise can't afford housing.
- "Sjukpenning", "Sjuktärsättning", "Aktivitetsersättning" and "Handikappersättning": Benefits if you are ill or disabled and can't work.
- "Arbetslöshetsersättning": Benefits for unemployed (time limited to 300 days, five days a week, which means 60 weeks)
- "Ålderspension", "Garantipension": Benefits for those who have retired.
- "Försörjningsstöd": Benefits for anyone (and their children) who otherwise can't get a reasonable standard of living. This is given out purely on a need-basis and handled by each municipality's social service.

Welfare fraud

In its 2017, police stated that welfare fraud was prevalent in vulnerable areas, where benefits administered by Swedish Public Employment Service and the Swedish Social Insurance Agency were targeted. Police had identified resident registry figures that had been manipulated: for instance, 2% of all apartments in Rinkeby had between 10 and 30 persons registered as residents, which led to an inflated number of people receiving welfare benefits.^[16]

The tolerance of fraud of the social welfare system generally decreases with high unemployment and low economic growth. A 1998 study stated that that tendency also applied to Sweden.

Education

Education is the responsibility of the Ministry of Education and Research. Education responsibilities includes pre-school and child care for school children as well as adult education. Education, including any university degree, is free in Sweden.

Labor market

The labor market policies fall under the responsibilities of the Ministry of Employment. The responsibilities considered to be a part of the welfare system includes unemployment benefits, activation benefits, employment services, employment programs, job and development guarantees, starter jobs, and the European Social Fund. Sweden has state-supported union unemployment funds.

As we can see Sweden fulfills the conditions to be considered as a welfare state.